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MCQ BOOKLET

COMPANIES ACT, 2013

Part 2

1. First Board meeting of a company should be held within _____ as per the Companies Act
 - a. Thirteen days of the date of its incorporation
 - b. Thirty days of the date of its incorporation
 - c. Forty-five days of the date of its incorporation
 - d. Thirty-five days of the date of its incorporation
 - e. One hundred and twenty days of the date of its incorporation
2. What should be the gap between two consecutive meetings of the Board as per the Companies Act?
 - a. Thirty days
 - b. Forty-five days
 - c. Ninety days
 - d. One hundred and twenty days
 - e. One hundred and eighty days
3. As laid down under the Companies Act every company shall hold the first meeting of the Board of Directors within thirty days of the date of its incorporation and thereafter hold a _____ meetings of its Board of Directors every year
 - a. Two
 - b. Four
 - c. Minimum number of four
 - d. Maximum number of four
 - e. Such number of meetings as the Board may decide
4. The participation of directors in a meeting of the Board _____ as per the Companies Act
 - a. Shall be only in person
 - b. Shall be in person or through video conferencing
 - c. May be in person or through other audio- visual means
 - d. May be either in person or through video conferencing or other audio- visual means
 - e. May be in any of such ways as the Board may in its discretion decide subject to the approval in the general meeting
5. Under the Companies Act what is the notice period for the purpose of calling a Board meeting which should be sent in writing to every director at his address registered with the company?
 - a. Less than seven days
 - b. More than seven days
 - c. Not less than three days
 - d. Less than fifteen days
 - e. Not less than seven days

6. What should be the gap between two meetings of the Board of a small company or a dormant company as per the provisions of the Companies Act?
 - a. Not less than fifteen days
 - b. Not less than thirty days
 - c. Not less than twenty-five days
 - d. Not less than sixty days
 - e. Not less than ninety days
7. The quorum for a meeting of the Board of Directors of a company as laid down under the Companies Act shall be _____
 - a. One third of its total strength or two directors, whichever is higher
 - b. One third of its total strength or two directors, whichever is lower
 - c. One third of its total strength or three directors, whichever is higher
 - d. One third of its total strength or three directors, whichever is lower
 - e. Such number of directors which the Board may decide unanimously
8. According to section 175 of the Companies Act where _____ of the total number of directors of the company for the time being require that any resolution under circulation must be decided at a meeting, the chairperson shall put the resolution to be decided at a meeting of the Board
 - a. Not less than five
 - b. Less than one-third
 - c. Not less than one-third
 - d. Not less than two-third
 - e. Not less than one-fourth
9. What should be the composition of the Audit Committee as laid down under the Companies Act?
 - a. Minimum three directors
 - b. Maximum three directors
 - c. Minimum three directors with one independent
 - d. As may be prescribed by the Central Government
 - e. Minimum of three directors with independent directors forming a majority
10. The Audit Committee is required to be constituted by which all companies as per the Companies Act?
 - a. Listed Public Company
 - b. Public Companies having turnover of two hundred crore rupees
 - c. Public Companies having paid up share capital of twelve crore rupees
 - d. All a b & c
 - e. Both b & c

11. What is the composition of the Nomination and Remuneration Committee and Stakeholders Relationship Committee s provided under the Companies Act?
- Three or more non-executive directors
 - Two or more non-executive directors
 - Four or more non-executive directors out of which not less than one-half shall be independent director
 - Three or more non-executive directors out of which not less than one-half shall be independent director
 - None of the above
12. Which all companies are required to constitute the Stakeholders Relationship Committee under the Companies Act?
- Companies having more than one thousand shareholders, debenture -holders, deposit-holders and any other security holders during a financial year
 - Companies having less than one thousand shareholders, debenture -holders, deposit-holders and any other security holders during a financial year
 - Companies having one thousand shareholders, debenture -holders, deposit-holders and any other security holders during a financial year
 - Companies having one thousand shareholders, debenture -holders, deposit-holders and any other security holders during a calendar year
 - Companies as the Central Government may prescribe
13. According to the Companies Act which companies may contribute any amount directly or indirectly to any political party?
- A company
 - A Government Company
 - A Company in existence for less than three financial years
 - All a b & c
 - Both b & c
14. As per the Companies Act when are the directors required to make disclosure of their interest?
- At the Board meeting
 - At the first meeting of the Board in every financial year
 - At the first meeting of the Board in which he participates as a director
 - Both a & c
 - Both b & c
15. Under the Companies Act a company may advance any loan or give any guarantee or provide any security in connection with any loan taken by any person in whom any of the director of the company is interested if _____
- A special resolution is passed by the company in general meeting
 - An ordinary resolution is passed by the company in general meeting
 - The loans are utilised by the borrowing company for its principal business activities

- d. Both a & c
 - e. Both b & c
16. The provisions relating to loans to directors etc. under the Companies Act shall not apply to _____
- a. Giving of any loan to a managing or whole-time director pursuant to any scheme approved by the members by an ordinary resolution
 - b. Any loan made by a holding company to its wholly owned subsidiary company or any guarantee given or security provided by a holding company
 - c. A company which in the ordinary course of its business provides loans or gives guarantees or securities for the due repayment of any loan
 - d. All a b & c
 - e. Both b & c
17. As per the Companies Act section 196 No company shall appoint or employ at the same time _____
- a. Managing director and a manager
 - b. Whole-time director and a manager
 - c. Managing director and a whole-time director
 - d. Manager, whole-time director and a managing director
 - e. Director, manager and whole-time director
18. As laid down under the Companies Act a company shall not appoint or continue the employment of any person as managing director, whole-time director or manager who _____
- a. Is below the age of twenty-one years or has attained the age of seventy years
 - b. Is an undischarged insolvent or has at any time been adjudged as an insolvent
 - c. Has at any time been convicted by a court of an offence and sentenced for a period of less than six months
 - d. All a b & c
 - e. Both a & b
19. The appointment of any person as managing director, whole-time director or manager shall not be made who has attained the age of seventy years unless _____
- a. A resolution is passed
 - b. An ordinary resolution is passed
 - c. A special resolution is passed
 - d. Central Government approval is obtained
 - e. Both a & d
20. The total managerial remuneration payable by a public company, to its directors, including managing director and whole-time director, and its manager in respect of any financial year shall _____
- a. Exceed eleven per cent of the net profits of that company for that financial year

- b. Not exceed eleven per cent of the net profits of that company for the calendar year
 - c. Not exceed eleven per cent of the net profits of that company for that financial year
 - d. Not exceed five per cent of the net profits of that company for that financial year
 - e. Not exceed eighteen per cent of the net profits of that company for that year
21. Key Managerial Personnel, in relation to a company as per the Companies Act means _____
- a. Managing director
 - b. Company Secretary
 - c. Chief Financial Officer
 - d. All a b & c
 - e. Either a or b & c
22. Whole-time key managerial personnel shall not hold office in more than one company except _____
- a. In charter company at the same time
 - b. In its subsidiary company at the same time
 - c. In its associate company at the same time
 - d. Either a b or c
 - e. Either b or c
23. If the office of any whole-time key managerial personnel is vacated, the resulting vacancy shall be filled-up by the Board at a meeting of the Board within a period of _____
- a. Six months from the date of such vacancy
 - b. Sixty days from the date of such vacancy
 - c. One hundred and twenty days from the date of such vacancy
 - d. Three months from the date of such vacancy
 - e. Ninety days from the date of such vacancy
24. As laid down under section 196 of the Companies Act where an appointment of a managing director, whole-time director or manager is not approved by the company at a general meeting, any act done by him before such approval shall _____
- a. Be deemed to be invalid
 - b. Not be deemed to be invalid
 - c. Not be deemed to be valid
 - d. Not be deemed to be enforceable
 - e. Be decided by the Central Government
25. As per the provisions of the Companies Act a managing director, whole-time director or manager shall be appointed and the terms and conditions of such appointment and remuneration payable be approved by the Board of Directors at a meeting and in case such appointment is at variance to the conditions specified in Part I of Schedule V it shall be approved by _____
- a. The Shareholders

- b. The Central Government
 - c. The Controller & Auditor General
 - d. Either b or c
 - e. All a b & c
26. According to section 230 of the Companies Act who can make an application to the Tribunal proposing a compromise or arrangement between a company and its creditors or any class of them?
- a. Creditor
 - b. Company
 - c. Member of the company
 - d. Either a or b or c
 - e. Either b or c
27. Which of the following is required to be disclosed by the company or any other person, by whom an application is made to the Tribunal for a compromise or arrangement under section 230 of the Companies Act?
- a. The latest financial position of the company
 - b. Latest auditor's report on the accounts of the company
 - c. Any scheme of corporate debt restructuring consented to by not less than seventy-five per cent of the secured creditors in value
 - d. All a b & c
 - e. Both a & b
28. The order of the Tribunal under section 230 of the Companies Act shall be filed with the Registrar by the company within a period of _____ of the receipt of the order
- a. Seven days
 - b. Sixty days
 - c. Thirty days
 - d. Ninety days
 - e. One hundred and twenty days
29. Where a meeting is proposed to be called in pursuance of an order of the Tribunal relating to compromise or arrangement a notice of such meeting shall be accompanied by a statement disclosing the details of the _____ as per the Companies Act
- a. Compromise or arrangement
 - b. Copy of the valuation report, if any
 - c. The effect on any material interests of the directors of the company
 - d. All a b & c
 - e. Both a & b
30. Notice and other documents under section 230 of the Companies Act shall also in case of a listed company _____

- a. Be sent to the SEBI
 - b. Be published in newspapers
 - c. Be sent to the stock exchange where the securities of the companies are listed
 - d. All a b & c
 - e. Both a & c
31. Under the Companies Act a notice under relating to compromise or arrangement shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within _____ from the date of receipt of such notice
- a. Seven days
 - b. One month
 - c. Six months
 - d. Ninety days
 - e. Two hundred and thirty days
32. As per the provisions laid down under the Companies Act any objection to the compromise or arrangement shall be made only by persons _____
- a. Holding less than ten per cent of the shareholding
 - b. Having not less than five per cent of the total outstanding debt
 - c. Holding not less than ten per cent of the shareholding
 - d. Either a or b
 - e. Either b or c
33. Where an order has been made by the Tribunal with respect to or in connection with, a scheme for the reconstruction of the company or companies involving merger or the amalgamation of any two or more companies the following shall be required to be circulated _____
- a. Report of the expert with regard to valuation, if any
 - b. Confirmation that a copy of the draft scheme has been filed with the Registrar
 - c. Draft of the proposed terms of the scheme drawn up and adopted by the directors of the merging company
 - d. Both b & c
 - e. All a b & c
34. The provisions relating to merger and amalgamation of certain companies under the Companies Act provides that a scheme of merger or amalgamation may be entered into between _____
- a. Two or more start-up companies
 - b. Holding company and its wholly-owned subsidiary company
 - c. Such other class or classes of companies as may be chosen
 - d. Both a & b
 - e. All a b & c

Ans. d. Both a & b, Explanation: Section 233. Merger or amalgamation of certain companies: (1) Notwithstanding the provisions of section 230 and section 232, a scheme of merger or amalgamation may be entered into between two or more small companies or between a holding company and its wholly-owned subsidiary company or such other class or classes of companies as may be prescribed: Companies (Compromises, Arrangements and Amalgamations) Rules, 2016: (1A) A scheme of merger or amalgamation under section 233 of the Act may be entered into between any of the following class of companies, namely:- (i) two or more start-up companies; or (ii) one or more start-up company with one or more small company.

35. What are the various conditions subject to which a scheme of merger or amalgamation may be entered by certain companies as laid down under section 233 of the Companies Act?
- Notice of the proposed scheme inviting objections or suggestions, if any, within thirty days be issued by the transferor company and the transferee company
 - Objections and suggestions received are considered by the companies in general meeting
 - Companies involved in the merger to file a declaration of solvency, with the Registrar of the place where the registered office of the company is situated
 - Both a & b
 - All a b & c
36. Under section 233 of the Companies Act if the Registrar or Official Liquidator has any objections or suggestions, he may communicate the same in writing to the _____ within a period of thirty days
- Tribunal
 - SEBI
 - Central Government
 - All a b & c
 - Either a b or c
37. A foreign company, may with the prior approval of the _____, merge into a company registered under the Companies Act or vice versa as per section 234 of the Companies Act
- SEBI
 - Tribunal
 - Reserve Bank of India
 - Central Government
 - Both b & d
38. Who can make an application to Tribunal for relief in cases of oppression as per the Companies Act?
- SEBI
 - Central Government
 - Board of Directors

- d. All a b c & d
 - e. Both a & b
39. In case of a company not having a share capital who has a right to apply to the Tribunal for relief in case of oppression as per the Companies Act?
- a. Less than one-fifth of the total number of its members
 - b. Not less than one-fifth of the total number of its members
 - c. Not more than one-fifth of the total number of its members
 - d. Not less than one hundred members
 - e. None of the above
40. In the case of a company having a share capital who has a right to apply to the Tribunal for relief in case of oppression as per the Companies Act?
- a. Not less than one hundred members of the company or not less than one-tenth of the total number of its members, whichever is less
 - b. Not less than one hundred members of the company or not less than one-tenth of the total number of its members, whichever is higher
 - c. Any member holding not less than one tenth of the issued share capital of the company
 - d. Either a or c
 - e. Either b or c
41. Under section 245 class action suit can be filed before the Tribunal on behalf of the members or depositors for seeking the following orders _____
- a. To restrain the company from committing an act which is ultra vires the articles or memorandum of the company
 - b. To not restrain the company from committing breach of any provision of the company's memorandum or articles
 - c. To restrain the company from taking action contrary to any resolution passed by the members
 - d. All a b & c
 - e. Both a & c
42. What is the requisite number of depositors who can make an application for class action under the Companies Act?
- a. Less than one hundred depositors
 - b. More than one hundred depositors
 - c. Not be less than one hundred depositors
 - d. Not be more than one hundred depositors
 - e. Any depositor as the company may decide
43. According to the Companies Act what is the time period within which an appeal filed before the Appellate Tribunal shall be dealt with and disposed of by it?
- a. Within sixty days from the date of its presentation

- b. Within thirty days from the date of its presentation
 - c. Within forty-five days from the date of its presentation
 - d. Within three months from the date of its presentation
 - e. Within one hundred and twenty-five days from the date of its presentation
44. As laid down under the Companies Act what is the extension time period within which an application and appeal if not disposed of by the concerned Authorities be disposed of?
- a. Seven days
 - b. Thirty days
 - c. Sixty days
 - d. Ninety days
 - e. One hundred and twenty days
45. As per section 407 of the Companies Act member means_____
- a. A member, of the Tribunal or the Appellate Tribunal
 - b. A member, whether Judicial or Technical of the Tribunal or the Appellate Tribunal
 - c. A member, whether Judicial or Technical of the Tribunal or the Appellate Tribunal and includes the President or the Chairperson, as the case may be
 - d. Either a or b or c
 - e. None of the above
46. The National Company Law Tribunal under the Companies Act is constituted by the _____ under the Companies Act
- a. NCLAT
 - b. SEBI
 - c. RBI
 - d. Central Government
 - e. None of the above
47. According to section 409 of the Companies Act a person shall not be qualified for appointment as a Judicial Member unless _____
- a. He is, or has been, a judge of a High Court for five years
 - b. He is, or has been, a District Judge for at least five years
 - c. He has, for at least ten years been an advocate of a court
 - d. All a b & c
 - e. Both b & c
48. Any person aggrieved by an order of the Tribunal may prefer an appeal to the _____
- a. Supreme Court
 - b. National Company Law Tribunal
 - c. National Company Law Appellate Tribunal
 - d. National Company Appellate Tribunal
 - e. National Company Law Appealable Tribunal

49. Every appeal under section 421 of the Companies Act shall be filed within a period of _____ from the date on which a copy of the order of the Tribunal is made available to the person aggrieved
- Forty-five days
 - Forty days
 - Thirty-five days
 - Sixty-five days
 - One month
50. As provided under the Companies Act the statement no civil court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which the Tribunal or the Appellate Tribunal is empowered to determine by or under the Companies Act or any other law for the time being in force is _____
- True
 - False
 - Partly true
 - No such provision under the Companies Act
 - Central Government may decide depending on the facts
51. The Central Government shall constitute an Appellate Tribunal to be known as the National Company Law Appellate Tribunal consisting of a chairperson and such number of Judicial and Technical Members for hearing appeals against _____ under the Companies Act
- The orders of the Tribunal or
 - The orders of the National Financial Reporting Authority
 - Any direction, decision or order under section 53N of the Competition Act, 2002
 - All a b or c
 - Either a or b
52. The President and every other Member of the Tribunal shall hold office as such for a term of five years from the date on which he enters upon his office, but shall _____ as per the Companies Act
- Be eligible for re-appointment for another term of five years
 - Not be eligible for re-appointment for another term of five years
 - Be eligible for re-appointment for another term of ten years
 - Be eligible for re-appointment for another term of five years with Central Government approval
 - Be eligible for re-appointment for two terms of five consecutive years
53. As laid down under section 413 of the Companies Act the Member may retain his lien with his parent cadre or Ministry or Department, as the case may be, while holding office as such for a period _____
- Not exceeding one month
 - Exceeding one year

- c. Not exceeding one year
 - d. Not exceeding one year two months
 - e. Not exceeding such years as the Central Government may prescribe
54. A Member of the Appellate Tribunal shall hold office as such until he attains in the case of the Chairperson, the age of _____ under the Companies Act
- a. Fifty years
 - b. Seventy years
 - c. Seventy-five years
 - d. Sixty-seven years
 - e. Sixty-five years
55. A Member of the Tribunal shall hold office as such until he attains in the case of the President, the age of _____ under the Companies Act
- a. Fifty years
 - b. Seventy years
 - c. Seventy-five years
 - d. Sixty-seven years
 - e. Sixty-five years
56. As laid down under the Companies Act a Special Court shall consist of _____
- a. A single judge holding office as Session Judge or Additional Session Judge, in case of offences punishable under this Act with imprisonment of two years or more
 - b. A Metropolitan Magistrate or a Judicial Magistrate of the First Class, in the case of other offences
 - c. A single judge holding office as Session Judge or Additional Session Judge, in case of offences punishable under this Act with imprisonment of two years or less
 - d. Both a & b
 - e. Both b & c
57. The Special Court under the Companies Act may, if it thinks fit, try in a summary way any offence under the Act which is punishable with _____
- a. Imprisonment for a term exceeding three years
 - b. Imprisonment for a term not exceeding three years
 - c. Imprisonment for a term not exceeding five years
 - d. Either a or b or c
 - e. Both a & c
58. What is the punishment laid down under the Companies Act for the offences for which no specific penalty or punishment is provided under the Act?
- a. Penalty of ten thousand rupees
 - b. In case of continuing contravention, with a further penalty of one thousand rupees for each day after the first during which the contravention continues

- c. In case of continuing contravention penalty will be subjected to a maximum of two lakh rupees in case of a company and fifty thousand rupees in case of an officer who is in default or any other person
 - d. All a b & c
 - e. Both a & b
59. Which of the statements as per the Companies Act is true relating to dormant companies_____
- a. A company formed and registered under the Act for a future project
 - b. A company formed and registered under the Act to hold an asset or intellectual property and has no significant accounting transaction
 - c. It shall have a minimum number of three directors in case of a public company
 - d. All a b & c
 - e. Both a & b
60. As per the Companies Act a company which has not filed financial statements or annual returns for _____, the Registrar shall issue a notice to that company and enter the name of such company in the register maintained for dormant companies
- a. Two financial years consecutively
 - b. Three financial years consecutively
 - c. Five financial years consecutively
 - d. Seven financial years consecutively
 - e. Ten financial years consecutively
61. Under the Companies Act a significant accounting transaction under section 455 means any transaction other than_____
- a. Payment of fees by a company to the Registrar
 - b. Allotment of shares to fulfil the requirements of the Companies Act
 - c. Payments for maintenance of its office and records
 - d. All a b & c
 - e. None of the above
62. Inactive company under the Companies Act means_____
- a. A company which has not been carrying on any business or operation
 - b. A company which has not made any significant accounting transaction during the last two financial years
 - c. A company which has not filed financial statement and annual returns during the last two financial years
 - d. All a b & c
 - e. Either a or b or c
63. What is the punishment as laid down under the Companies Act for a person guilty of fraud involving an amount of at least ten lakh rupees or one percent. of the turnover of the company, whichever is lower?

- a. Imprisonment for a term which shall not be less than six months but which may extend to ten years
 - b. Liable to fine which shall not be less than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud
 - c. Liable to fine which shall not be more than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud
 - d. Both a & b
 - e. Both a & c
64. What is the punishment as laid down under the Companies Act for a person guilty of fraud involving an amount less than ten lakh rupees or one per cent of the turnover of the company, whichever is lower, and does not involve public interest?
- a. Imprisonment for a term which may extend to five years
 - b. Fine which may extend to fifty lakh rupees
 - c. Either a or b
 - d. Both a & b
 - e. Either a or b or with both a & b
65. Under the Companies Act if a company or an officer of a company commits the same offence for the second or subsequent occasions within a period of three years, then, that company and every officer who is in default shall be punishable with_____
- a. Twice the amount of fine for such offence
 - b. Twice the amount of fine for such offence in addition to any imprisonment provided for that offence
 - c. Thrice the amount of fine for such offence in addition to any imprisonment provided for that offence
 - d. Fine which shall not be less than the amount of fine for such offence
 - e. As maybe prescribed by the Central Government
66. Under the Companies Act Appellate Tribunal means the_____
- a. National Company Law Tribunal constituted under section 408
 - b. National Company Law Appellate Tribunal constituted under section 410
 - c. National Company Law Appealable Tribunal constituted under section 410
 - d. National Company Law Appellate Tribunal constituted under section 411
 - e. National Corporate Law Appellate Tribunal constituted under section 410
67. As per the Companies Act a private company means a company_____
- a. Prohibits any invitation to the public to subscribe for any securities of the company
 - b. Having a minimum paid-up share capital of one lakh rupees or as may be prescribed
 - c. Which by its Articles unlimits the number of its members to two hundred
 - d. All a b & c
 - e. Both a & b

68. A related party with respect to a company under the Companies Act means _____
- a. A director or his relative
 - b. A public company in which a director or manager is a director and holds along with his relatives, more than two per cent of its paid-up share capital
 - c. Any person on whose advice, directions or instructions a director or manager is accustomed to act
 - d. All a b & c
 - e. Both a & b
69. _____ means a company not having any limit on the liability of its members under the Companies Act
- a. Unlimited company
 - b. Limitless company
 - c. Uni-limited company
 - d. United company
 - e. Limited liability company
70. Under the Companies Act “member”, in relation to a company, means _____
- a. The subscriber to the memorandum of the company who shall be deemed to have agreed to become member of the company, and on its registration, shall be entered as member in its register of members
 - b. Every other person who agrees in writing to become a member of the company and whose name is entered in the register of members of the company
 - c. Every person holding shares of the company and whose name is entered as a beneficial owner in the records of a depository
 - d. All a b & c
 - e. Both a & b
71. According to the provisions of the Companies Act the objects of a Producer Company may relate to which of the following matters?
- a. Financing of procurement and marketing activities
 - b. Production, harvesting, and import of primary produce of the Members
 - c. Export of primary produce and manufacturing of machinery for Members
 - d. Technical services and research for the promotion of Members' interests
 - e. Selling and distribution of machinery and equipment to non-members
72. Under the objects of the Producer Company, the following activity is not mentioned:
- a. Providing welfare measures for Members
 - b. Insurance of producers or their primary produce
 - c. Processing and packaging of produce of its Members
 - d. Generation and distribution of power from renewable sources
 - e. Rendering technical services for the promotion of Members' interests

73. The Producer Company can carry out the activities through other institutions as per the provisions of the Companies Act
- Import of goods or services for Members
 - Processing and packaging of produce
 - Manufacturing machinery for Members
 - Providing technical services and consultancy to Members
 - Generation and distribution of power
74. Every Producer Company shall primarily deal with the produce of its which group of Members for carrying out any of its specified objects as provided under the Companies Act
- All Members, irrespective of their activity level
 - Active Members, who actively participate in the company's affairs
 - Associate Members, who have a nominal involvement with the company
 - Non-Members, who are not part of the Producer Company
 - Passive Members, who do not actively engage in the company's activities
75. A Producer Company can be formed by whom under the Companies Act?
- Any seven or more Producer Institutions
 - Any five or more individuals, each of them being a producer
 - Any ten or more individuals, each of them being a producer
 - Any twenty or more individuals and Producer Institutions
 - A combination of five or more individuals and Producer Institutions
76. What is the primary condition for forming a Producer Company under the Companies Act?
- The company must have at least five active Members
 - At least two Producer Institutions must be part of the formation
 - A combination of individuals and Producer Institutions must be involved
 - The company must be incorporated as a private limited company
 - The individuals forming the company must comply with the requirements of Section 378B and otherwise complying with the requirements of Chapter XXIA
77. As laid down under section 378C of the Companies Act within how many days of receiving the registration documents does the Registrar issue a certificate of incorporation?
- Within seven days
 - Within thirty days
 - Within sixty days
 - Within ninety days
 - Within one hundred and twenty days
78. With respect to the provisions related to the Producers Company what documents are registered by the Registrar before issuing the certificate of incorporation to it as per the Companies Act?
- The company's tax returns
 - The company's annual report and balance sheet
 - The company's environmental compliance reports
 - The company's Memorandum of Association and Articles of association
 - None of the above

79. Under the Companies Act what is the extent of the Members' liability for the company's obligations in a Producer Company limited by shares?
- The Members have unlimited liability
 - The Members are liable up to the face value of their shares
 - The Members are liable for all the company's debts and liabilities
 - The Members' liability is limited to the amount unpaid on their shares
 - Either a or c
80. How is the liability of Members determined in a Producer Company limited by shares as per the Companies Act?
- It is determined by the company's Board of Directors
 - It is determined by the Central Government Regulations
 - It is limited by the Memorandum to the amount unpaid on their shares
 - Either a or b or c
 - None of the above
81. As per section 378C of the Companies Act what expenses can a Producer Company reimburse to its promoters?
- Only expenses related to the printing of the memorandum and articles of association
 - All direct costs associated with the promotion and registration, excluding legal fees
 - Expenses related to registration and legal fees, but not printing costs
 - All direct costs associated with the promotion and registration, including legal fees and printing costs
 - Only expenses incurred after the first general meeting of the Members
82. As per the Companies Act under what condition can a Producer Company reimburse the direct costs associated with promotion and registration to its promoters?
- The approval of the board of directors is sufficient for reimbursement
 - Reimbursement is subject to approval at the first general meeting of the Members
 - The promoters must bear all expenses themselves; reimbursement is not allowed
 - Reimbursement can be made only after the company starts generating profits
 - Both a & d
83. What type of company does a Producer Company become upon registration under the Companies Act?
- It becomes a partnership firm
 - It becomes a body corporate similar to a public limited company
 - It becomes a body corporate similar to a private limited company
 - Either b or c
 - None of the above

84. In a Producer Company where the membership consists solely of individual Members, how are the voting rights determined as per the Companies Act?
- Individual Member gets voting rights based on their shareholding
 - Individual Members get single vote, irrespective of their shareholding or patronage
 - Individual Member gets two votes, regardless of their shareholding or patronage
 - Individual Member gets voting rights based on their participation in the business
 - Individual Member gets voting rights based on the rules as may be framed by the Central government from time to time
85. In a Producer Company consisting of only Producer Institutions, how are the voting rights of such Producer Institutions determined during the first year of registration?
- Voting rights are based on the patronage of Producer Institution
 - Voting rights are based on the shareholding of the Producer Institution
 - Voting rights are computed on the basis of participation in the business in the previous year
 - Voting rights are equally distributed among all Producer Institutions
 - Voting rights are not applicable to Producer Institutions in the first year of registration
86. As per the Companies Act in a case of a Producer Company where the membership consists of Producer Institutions only, the voting rights of such Producer Institutions shall be determined on the basis of _____
- Voting rights are based on the shareholding of the Producer Institution
 - Their participation in the business in the previous year, as may be specified by Articles
 - Their participation in the business in the calendar year, as may be specified by Article
 - Either a or c
 - None of the above
87. According to the Companies Act in a case where the membership of a Producer Company consists of individuals and Producer Institutions, the voting rights shall be computed on the basis of _____
- Each individual Member and Producer Institution gets one vote each
 - Each individual Member gets one vote, and each Producer Institution gets two votes
 - Voting rights are determined based on the participation of each member in the business of the Producer Company in the previous year
 - Voting rights are based on the number of shares held by each individual and each Producer Institution
 - None of the above

88. Under the Companies Act in case of a producer Company if a Member acquires a business interest conflicting with the business of the Producer Company, what will happen in such a circumstance?
- The Member shall cease to be a Member of that Company
 - The Member's interest in the Producer Company will be temporarily suspended
 - The Member's business interest will be given priority over the Producer Company's interest
 - The Member will be removed from the Producer Company as per the Articles
 - Both a & d
89. Who is eligible to become a Member of the Producer Company?
- Any individual irrespective of his business interests
 - Only those individuals who have no business interests in conflict with business of the Producer Company
 - Individuals with conflicting business interests who take approval from the Board
 - Individuals who are willing to sell their conflicting business interests to the company
 - Either of the above
90. Can a Producer Company restrict voting rights to only active Members in special or general meetings as laid down under the Companies Act?
- No, voting rights cannot be restricted for any type of Member
 - Yes, but it requires approval from the Board of Directors and the Registrar of Companies
 - Yes, a Producer Company can restrict voting rights to active Members if authorised by its Articles
 - Yes, but it can only be done for special meetings, not general meetings
 - None of the above
91. What can be the modes of disbursement for the withheld price of the produce supplied by a Member of a Producer Company as per the Companies Act?
- Cash payment only
 - Cash or kind or equity shares, as decided by the Member
 - Cash or kind or equity shares, as determined by the Board
 - Cash or equity shares, based on the prevailing market rates
 - None of the above
92. According to the Companies Act how will the value for the produce or products pooled and supplied by a Member be determined initially for a producer Company?
- The Board will determine the initial value
 - The value will be determined by the Member themselves
 - The value will be determined based on the prevailing market rates
 - Either a or c
 - Either b or c

93. Under the Companies Act what does every member of a Producer Company receive on the share capital contributed?
- A fixed monthly income
 - A limited return on their investment
 - A percentage of the company's profits
 - Either a or b or c
 - None of the above
94. What information is required to be stated in the Memorandum of every Producer Company as per the Companies Act?
- The liability of its members is limited
 - The names and addresses of the persons who have subscribed to the Articles
 - The state in which the registered office of the Producer Company is to situate
 - Both a & c
 - All a b & c
95. What provisions should be included in the articles of a Producer Company as per the Companies Act?
- Each Member shall have only a single vote irrespective of the shareholding
 - The membership shall be voluntary and available, to all eligible persons who, can participate or avail of the facilities or services of the Producer Company
 - Provision for the education of Members, employees and others, on the principles of mutuality and techniques of mutual assistance
 - Both a & b
 - All a b & c
96. Under what circumstances can a Producer Company alter its objects specified in its Memorandum of Association?
- By a resolution, if the alteration is consistent with section 378B
 - By an ordinary resolution, if the alteration is consistent with section 378B
 - By a special resolution, if the alteration is consistent with section 378B
 - By a Board Resolution after taking approval of the Central Government
 - Either a or c or d
97. What is the requirement for filing of an amended Memorandum of Association with the Registrar for a Producer Company as laid down under the Companies Act?
- A copy of the amended memorandum, along with a copy of the special resolution, needs to be filed with the Registrar within fifteen days from the date of adoption of the resolution
 - A copy of the special resolution, along with a copy of the amended memorandum, needs to be filed with the Registrar within sixty days from the date of adoption of the resolution
 - A copy of the amended memorandum, together with a copy of the special resolution duly certified by two directors, shall be filed with the Registrar within thirty days from the date of adoption of any resolution

- d. A copy of the amended memorandum, together with a copy of the special resolution duly certified by the company secretary, shall be filed with the Registrar within thirty days from the date of adoption of any resolution
 - e. A copy of the amended memorandum, together with a copy of the special resolution duly certified by two directors and a company secretary, shall be filed with the Registrar within thirty days from the date of adoption of any resolution
98. As per section 378H of the Companies Act who is required to duly certify a copy of the special resolution related to the amendment of the Memorandum of Association of Producer Company?
- a. By two directors
 - b. By three directors
 - c. By the Company Secretary
 - d. Both a & c
 - e. Both b & c
99. According to the Companies Act in case of a Producer Company the alteration of the provisions of memorandum relating to the change of the place of its registered office from one State to another shall not take effect unless _____
- a. It is approved by the appropriate Authority
 - b. It is approved by the Board of Directors
 - c. It is approved by the Tribunal on an application
 - d. It is approved by the Central Government on an application
 - e. It is approved by the Central Government in consultation with the Tribunal
100. According to the Companies Act in case of a Producer Company any amendment of the Articles shall be proposed by _____ of the Producer Company, and adopted by the Members by a special resolution
- a. By not less than one-third of the Members
 - b. By not less than two-third of the Members
 - c. By not less than two-thirds of the elected directors
 - d. Either a or c
 - e. Either b or c
101. Under section 378I of the Companies Act a copy of the amended Articles of a Producer Company together with the copy of the special resolution, both duly certified by two directors, shall be filed with the Registrar within _____ from the date of its adoption
- a. Seven days
 - b. Fifteen days
 - c. Thirty days
 - d. Sixty days
 - e. Ninety days
102. As laid down under the Companies Act any inter-State co-operative society with objects not confined to one State may make an application to the Registrar for registration as Producer Company along with _____

- a. A copy of the special resolution, of not less than one-third of total members of inter-State co-operative society
 - b. A copy of the special resolution, of not less than two-thirds of total members of inter-State co-operative society
 - c. A statement showing the names and addresses or the occupation of the directors and the Chief Executive, if any
 - d. Both a & c
 - e. Both b & c
103. Which of the following co-operative society are eligible to apply for registration as a Producer Company under the Companies Act?
- a. Co-operative society formed by producers by federation
 - b. Co-operative society formed by co-operatives of producers
 - c. Co-operative society formed by union of co-operative societies of producers
 - d. Either a or b or c
 - e. None of the above
104. How many directors should every Producer Company have according to the Companies Act?
- a. At least three and not more than ten directors
 - b. At least two and not more than five directors
 - c. At least five and not more than fifteen directors
 - d. At least ten and not more than twenty directors
 - e. At least fifteen and not more than thirty directors
105. According to the provisions of the Companies Act in the case of an inter-State co-operative society incorporated as a Producer Company, such company may have more than fifteen directors for a period of _____ from the date of its incorporation
- a. One year
 - b. Two year
 - c. Three year
 - d. One month
 - e. Ninety days
106. The Companies Act provides that _____ is responsible for governing the affairs of a Producer Company until the directors are elected in accordance with the provisions of the law
- a. The Board of Directors
 - b. The Central Government
 - c. The Registrar of Companies
 - d. The Members who sign the Memorandum and Articles
 - e. Either b or c
107. In the case of an inter-State co-operative society registered as a Producer Company, how long after the registration of the company must the election of directors be conducted if at least five directors hold office on the date of registration?

- a. Sixty days
 - b. Ninety days
 - c. One hundred and twenty days
 - d. Three hundred and sixty-five days
 - e. As may be prescribed by the Central Government
108. According to the provisions contained under the Companies Act and the Articles of Association of a Producer Company, what is the tenure for which a person can hold the office as a director?
- a. Not less than one year but not exceeding five years
 - b. Not less than one year but not exceeding ten years
 - c. Not less than two year but not exceeding five years
 - d. Not less than five year but not exceeding ten years
 - e. Not less than three year but not exceeding six years
109. Whether a director appointed as per the provisions of section 378P of the Companies Act shall be eligible for re-appointment as a director?
- a. No
 - b. Yes if prior approval of Tribunal is taken
 - c. Yes if the members so decide at their discretion
 - d. Yes if prior approval of Central Government is taken
 - e. Yes, if the director retires as per the Articles of Association
110. Who is responsible for electing or appointing the directors of the Board of a Producer Company?
- a. Registrar
 - b. Central Government
 - c. Independent auditors
 - d. Members of the Company
 - e. None of the above
111. According to the Companies Act in case of a Producer Company the directors of the Board shall be elected or appointed by the Members in the _____
- a. Board Meeting
 - b. Stakeholders' Meeting
 - c. Annual General Meeting
 - d. Either b or c
 - e. Either a or b or c
112. As per section 378P of the Companies Act how is the appointment or co-opting of additional directors or expert directors decided?
- a. By the Board
 - b. By the Central Government
 - c. By the Chairman of the company
 - d. By the shareholders at the Annual General Meeting

- e. Either c or d
113. The Board of a Producer Company may co-opt one or more expert directors or an additional director _____ or appoint any other person as additional director for such period as the Board may deem fit
- Not exceeding one-third of the total number of directors
 - Not exceeding one-fourth of the total number of directors
 - Not exceeding one-fifth of the total number of directors
 - Not exceeding one-half of the total number of directors
 - Not exceeding two-third of the total number of directors
114. Which of the following is true relating to expert directors of a Producer Company as per the Companies Act?
- Shall not have the right to vote in the election of the Chairman
 - Shall be eligible to be elected as Chairman, if so provided by its Articles
 - Shall hold office for a maximum period not exceeding such period as may be specified in the Articles
 - Both b & c
 - All a b & c
115. As per the provisions contained under the Companies Act the office of the director of a Producer Company shall become vacant if _____
- Default is made in holding election for the office of director, in the Producer Company in which he is a director
 - He has not made a default in repayment of any advances or loans taken from the Producer Company in which he is a director
 - He is convicted by a court of any offence involving moral turpitude and sentenced in respect thereof to imprisonment for not less than six months
 - Both a & c
 - All a b & c
116. Which of the following powers and functions is not within the purview of the Board of Directors of a Producer Company as per the Companies Act?
- Admission of new Members
 - Determination of the dividend payable
 - Exercise superintendence, direction and control over Chief Executive and other officers appointed by it
 - Acquisition or disposal of property of the Producer Company even if not in its ordinary course of business
 - Determination of the quantum of withheld price and recommend patronage to be approved at general meeting
117. What powers are exercised by the Board of Directors of a Producer Company on behalf of the Company?
- Issue of bonus shares

- b. Approval of patronage bonus
 - c. Specify the conditions and limits of loans that may be given by the Board to any director
 - d. All a b & c
 - e. Both a & c
118. Every Member of a Producer Company shall have how many votes as per the Companies Act?
- a. One vote
 - b. Two votes
 - c. Three votes
 - d. Four votes
 - e. Five votes
119. In case of a Producer Company what happens when there is equality of votes among the Members during a decision-making process?
- a. The decision is postponed to the next meeting
 - b. The decision is made by the Central Government
 - c. The decision is made by the Chief Executive Officer
 - d. The Chairman or the person presiding has a casting vote
 - e. None of the above
120. For a Producer Company what is the minimum percentage of the total membership required to constitute a quorum at a general meeting, unless the company's Articles specify a larger number?
- a. One-fifth
 - b. One-half
 - c. One-third
 - d. One-fourth
 - e. Two-thirds
121. According to the Companies Act, 2013, every Producer Company having an average annual turnover exceeding five crore rupees in each of three consecutive financial years shall have a _____
- a. Managing Director
 - b. Company Secretary
 - c. Whole-time Secretary
 - d. Chief Financial Officer
 - e. Non-Executive Director
122. According to the Companies Act, what is the penalty for a defaulting Producer company and its officers in case of their failure to appoint a whole-time secretary?
- a. One hundred rupees for every day during which the default continues
 - b. One hundred rupees for every day during which the default continues subject to a maximum of rupees two lakh
 - c. Two hundred rupees for every day during which the default continues subject to a maximum of rupees one lakh

- d. One hundred rupees for every day during which the default continues subject to a maximum of rupees one lakh
 - e. As the Central Government may prescribe from the time being
123. The share capital of a Producer Company shall consist of _____ as per the Companies Act
- a. Equity shares only
 - b. Preference shares only
 - c. Either a or b
 - d. Both a & b
 - e. At the Central Government may specify
124. What is the principle that governs the allocation of shares to Members in a Producer Company?
- a. The financial status of the Members
 - b. Equality and uniformity among all members
 - c. Proportionality to the patronage of the company
 - d. Seniority and years of association with the company
 - e. Proportionality to the market value of the company's shares
125. In a Producer Company, what provision allows active Members to have special rights and how can these be represented?
- a. By appointing them as directors on the Board
 - b. By providing them with a higher share of profits in dividends
 - c. By offering them exclusive discounts on company products
 - d. By granting them additional voting power in the General Meetings
 - e. By allowing them to issue appropriate instruments conveying their special rights
126. What does Special Right under section 378ZC means under Companies Act?
- a. Any right relating to the supply of additional produce by the inactive Member
 - b. Any right granted to an inactive or active member for participating in board meetings
 - c. Any right granted to members to purchase additional company shares at a discounted price
 - d. Any right given to members to receive a fixed dividend irrespective of the company's performance
 - e. Any right relating to supply of additional produce by the active Member or any other right relating to his produce which may be conferred upon him by the Board
127. What is the general rule regarding the transfer of shares for a Member of a Producer Company as per the Companies Act?
- a. Shares can be transferred freely to any interested party
 - b. Shares are transferable only if the Member reaches a certain age
 - c. Shares are transferable with the consent of the majority shareholders
 - d. Shares are not transferable, except as provided in under section 378ZD (2) to (4)

- e. Shares are transferable only if the Member holds a significant percentage of the company's total shares
128. What is the requirement for transferring shares, along with any special rights, to an active Member of a Producer Company as per the Companies Act?
- a. Shares can be transferred freely without any prior approval
 - b. Transfer must be made at a discounted value approved by a director
 - c. Shares can be transferred only if the company is facing financial difficulties Only if the transferring Member holds a significant percentage of the company's total shares
 - d. Only if the transferring Member obtains approval from the Central Government
 - e. Only if the transferring Member obtains previous approval of the Board
129. What is the timeframe within which a Member of a Producer Company must nominate a person to whom their shares will vest in the event of their death?
- a. Within one month of becoming a Member
 - b. Within two months of becoming a Member
 - c. Within three months of becoming a Member
 - d. Within six months of becoming a Member
 - e. There is no specific timeframe for making the nomination
130. What is the consequence of nominating a non-producer as a nominee in a Producer Company?
- a. The shares of the deceased Member are auctioned to the highest bidder
 - b. The non-producer nominee is automatically replaced by a producer nominee
 - c. The nomination becomes invalid, and the shares are transferred to the Central Government
 - d. The non-producer nominee is entitled to only a partial share of the deceased Member's shares
 - e. The shares of the deceased Member are surrendered to the Producer company at par value
131. According to the Companies Act what should be documented in the books of account of a Producer Company?
- a. The assets and liabilities of the Producer Company
 - b. All sales and purchase of goods by the Producer Company
 - c. The instruments of liability executed by or on behalf of the Producer Company
 - d. All a b & c
 - e. Both a & b
132. Who is responsible for conducting the internal audit of the accounts in a Producer Company?
- a. The Board of Directors
 - b. A chartered accountant
 - c. The company's employees
 - d. The company's shareholders

- e. The Government regulatory authority
133. What are the additional matters that the auditor is required to report on, relating to the Producer Company, besides the provisions contained in section 143?
- The details of assets and liabilities
 - The verification of cash balance and securities
 - The loans given by the Producer Company to the directors
 - The amount of debts due along with particulars of bad debts, if any
 - All a b c & d
134. According to the provisions as laid down under the Companies Act, can a Producer Company make a donation or subscription without any formal approval?
- Yes, donations can be made without any approval
 - Yes, donations can be made only for charitable purposes
 - No, donations can only be made by the Board of Directors
 - Yes, donations can be made as per the company's discretion
 - No, special resolution approval is mandatory for donations or subscriptions
135. What principles does a Producer Company aim to promote through donations or subscriptions?
- Equality and diversity in the workplace
 - Promoting the mutual assistance principles
 - Promoting the social and economic welfare of Producer Members
 - Both b & c
 - All a b & c
136. What is the maximum percentage of the net profit of a Producer Company that can be utilized for donations and subscriptions in any financial year according to the Companies Act?
- One percent
 - Two percent
 - Three percent
 - Four percent
 - As maybe prescribed by the Central Government
137. What method is used to determine the maximum allowable amount for donations and subscriptions in a Producer Company?
- By relying on the discretion of the Board of Directors
 - By evaluating the total assets of the Producer Company
 - By considering the total revenue of the Producer Company
 - By applying a fixed percentage to the net profit of the previous financial year
 - Either of the above

138. What is the restriction imposed on Producer Companies concerning political contributions or subscriptions as per the Companies Act?
- They are prohibited from making any political contributions directly or indirectly
 - They are prohibited from making any political contributions directly, but indirect contributions are allowed
 - They are allowed to make political contributions only to specific political parties approved by the Government
 - They are allowed to make political contributions, but the contributions should be disclosed in their financial reports
 - They are allowed to make political contributions, but only to individuals and not to political parties
139. As per the Companies Act every Producer Company shall maintain a _____ in every financial year, in addition to any reserve maintained by it as may be specified in articles?
- General Reserve
 - Capital Reserve
 - Dividend Reserve
 - Contingency Reserve
 - Either a or b or c or d
140. In a case where the Producer Company does not have sufficient funds in any financial year for transfer to maintain the reserves as may be specified in Articles, what is the course of action for the contribution to the reserve as per the provisions of the Companies Act?
- The contribution will be shared amongst the Board of Directors equally
 - The contribution will be waived off for that financial year to support the company's growth
 - The contribution will be made by the Board of Directors from their personal funds
 - The contribution will be taken from external investors to fulfill the reserve requirement
 - The contribution will be shared amongst the Members in proportion to their patronage in the business of that Company in that year
141. Any Producer Company may, _____, issue bonus shares by capitalisation of amounts from general reserves referred to in section 378Z-I in proportion to the shares held by the Members on the date of the issue of such shares
- If the company has surplus profits exceeding a certain threshold
 - If the company achieves a specified growth rate in the financial year
 - If the Board recommends it and a resolution is passed in the general meeting
 - If the company has a large number of shareholders demanding bonus shares
 - If the company is facing financial difficulties and needs to improve liquidity
142. According to the Companies Act the Board of a Producer Company can provide financial assistance to its Members in which of the following ways, as per the provisions in articles?
- By offering credit facility to any Member in connection with the business of the Producer Company, for a period not exceeding six months

- b. By offering credit facility to any Member in connection with the business of the Producer Company, for a period exceeding six months
 - c. By granting loans and advances, against security specified in articles to any Member, repayable within a period exceeding three months but not exceeding seven years from the date of disbursement of such loan or advances
 - d. Both a & c
 - e. Both b & c
143. As laid down under the Companies Act when can a Producer Company grant a loan or advance to any director or their relative?
- a. After seeking approval from the Board of Directors
 - b. After receiving consent from the majority shareholders
 - c. After the company's auditors review and approve the loan
 - d. After obtaining approval from the Members in a general meeting
 - e. After obtaining approval from the Government regulatory authority
144. As per the Companies Act how should the general reserves of a Producer Company be invested to secure the highest returns?
- a. The general reserves should be invested in the company's own shares to increase the share value
 - b. The general reserves should be invested in real estate properties for long-term growth
 - c. The general reserves should be invested in high-risk stocks for potential high returns
 - d. The general reserves should be invested in government-approved securities, fixed deposits, units, bonds issued by the Government, or co-operative or scheduled bank
 - e. The general reserves should be distributed among the company's directors as a bonus
145. When can a Producer Company acquire the shares of another Producer Company as per the Companies Act?
- a. For promotion of its objectives
 - b. To promote competition and reduce market dominance
 - c. For diversifying its business activities and entering new markets
 - d. Both a & b
 - e. All a b & c
146. Any Producer Company may subscribe to the share capital of, or enter into any agreement or other arrangement, whether by way of formation of its subsidiary company, joint venture or in any other manner with any body corporate, for the purpose of promoting the objects of the Producer Company by special resolution in this behalf
- a. Resolution in this behalf
 - b. Ordinary resolution in this behalf
 - c. Special resolution in this behalf
 - d. Board resolution in this behalf
 - e. As per the Central Government notification

147. What is the maximum limit for a Producer Company, either by itself or together with its subsidiaries, to invest in shares of any other company, other than a Producer Company, as per the provisions of Section 78ZL of the Companies Act?
- 10% of the aggregate of its paid-up capital and free reserves
 - 20% of the aggregate of its paid-up capital and free reserves
 - 30% of the aggregate of its paid-up capital and free reserves
 - 40% of the aggregate of its paid-up capital and free reserves
 - There is no maximum limit specified for such investments
148. What is the condition under which a Producer Company can invest in excess of the limits specified in Section 78ZL of the Companies Act?
- By obtaining approval from the majority shareholders of the company
 - By getting approval from the Board of Directors
 - By providing an explanation of the excess investment to the Government regulatory authority
 - By merging with another Producer Company to increase the investment limits
 - By passing a special resolution in the general meeting and obtaining prior approval of the Central Government
149. Under what circumstances can the Board of a Producer Company dispose of its investments as referred to in section 378ZL (3) &(4) of the Companies Act?
- By passing a resolution in the general meeting
 - By obtaining prior approval of the Central Government
 - By obtaining approval from the Government regulatory authority
 - By receiving consent from the majority shareholders of the company
 - None of the above
150. As laid down under the Companies Act what information is required to be maintained in the register of investments by every Producer Company?
- Details of all the employees and their respective investments
 - Financial details of the company's competitors and their market share
 - Names of all the suppliers and their financial transactions with the company
 - Records of all the loans and advances provided by the company to its members
 - Particulars of all the investments, including the names of the companies in which shares have been acquired, number and value of shares, date of acquisition, and the manner and price at which any of the shares have been subsequently disposed of

ANSWER KEYS

1. Ans. b. Thirty days of the date of its incorporation,
Explanation: Section 173. Meetings of Board: (1) Every company shall hold the first meeting of the Board of Directors within thirty days of the date of its incorporation and thereafter hold a minimum number of four meetings of its Board of Directors every year in such a manner that not more than one hundred and twenty days shall intervene between two consecutive meetings of the Board.
2. Ans. d. One hundred and twenty days,
Explanation: Section 173. Meetings of Board: (1) Every company shall hold the first meeting of the Board of Directors within thirty days of the date of its incorporation and thereafter hold a minimum number of four meetings of its Board of Directors every year in such a manner that not more than one hundred and twenty days shall intervene between two consecutive meetings of the Board.
3. Ans. c. Minimum number of four meetings,
Explanation: Section 173. Meetings of Board: (1) Every company shall hold the first meeting of the Board of Directors within thirty days of the date of its incorporation and thereafter hold a minimum number of four meetings of its Board of Directors every year in such a manner that not more than one hundred and twenty days shall intervene between two consecutive meetings of the Board.
4. Ans. d. May be either in person or through video conferencing or other audio- visual means,
Explanation: Section 173. Meetings of Board: (2) The participation of directors in a meeting of the Board may be either in person or through video conferencing or other audio- visual means, as may be prescribed, which are capable of recording and recognizing the participation of the directors and of recording and storing the proceedings of such meetings along with date and time: Provided that the Central Government may, by notification, specify such matters which shall not be dealt with in a meeting through video conferencing or other audio visual means.
5. Ans. e. Not less than seven days,
Explanation: Section 173. Meetings of Board: (3) A meeting of the Board shall be called by giving not less than seven days' notice in writing to every director at his address registered with the company and such notice shall be sent by hand delivery or by post or by electronic means.

6. Ans. e. Not less than ninety days,
Explanation: Section 173. Meetings of Board: (5) A One Person Company, small company, dormant company and a private company (if such private company is a start-up) shall be deemed to have complied with the provisions of this section if at least one meeting of the Board of Directors has been conducted in each half of a calendar year and the gap between the two meetings is not less than ninety days.
7. Ans. a. One third of its total strength or two directors, whichever is higher,
Explanation: Section 174. Quorum for meetings of Board: (1) The quorum for a meeting of the Board of Directors of a company shall be one third of its total strength or two directors, whichever is higher, and the participation of the directors by video conferencing or by other audio-visual means shall also be counted for the purposes of quorum under this sub-section.
8. Ans. c. Not less than one-third,
Explanation: Section 175. Passing of resolution by circulation: (1) No resolution shall be deemed to have been duly passed by the Board or by a committee thereof by circulation, unless the resolution has been circulated in draft, together with the necessary papers, if any, to all the directors, or members of the committee, as the case may be, at their addresses registered with the company in India by hand delivery or by post or by courier, or through such electronic means as may be prescribed and has been approved by a majority of the directors or members, who are entitled to vote on the resolution: Provided that, where not less than one-third of the total number of directors of the company for the time being require that any resolution under circulation must be decided at a meeting, the chairperson shall put the resolution to be decided at a meeting of the Board.
9. Ans. e. Minimum of three directors with independent directors forming a majority,
Explanation: Section 177. Audit Committee: (2) The Audit Committee shall consist of a minimum of three directors with independent directors forming a majority: Provided that majority of members of Audit Committee including its Chairperson shall be persons with ability to read and understand, the financial statement.
10. Ans. a. Listed Public Company,
Explanation: Section 177. Audit Committee: (1) The Board of Directors of every listed public company and such other class or classes of companies, as may be prescribed, shall constitute an Audit Committee i.e., (i) the Public Companies having paid up share capital of ten crore rupees or more; or (ii) the Public Companies having turnover of one hundred crore rupees or more; or (iii) the Public Companies which have, in aggregate, outstanding loans, debentures and deposits, exceeding fifty crore rupees.
11. Ans. d. Three or more non-executive directors out of which not less than one-half shall be independent director,
Explanation: Section 178. Nomination and Remuneration Committee and Stakeholders Relationship Committee: (1) The Board of Directors of every listed public company and

such other class or classes of companies, as may be prescribed shall constitute the Nomination and Remuneration Committee consisting of three or more non-executive directors out of which not less than one-half shall be independent director: Provided that the chairperson of the company (whether executive or non-executive) may be appointed as a member of the Nomination and Remuneration Committee but shall not chair such Committee.

12. Ans. a. Companies having more than one thousand shareholders, debenture -holders, deposit-holders, and any other security holders during a financial year,

Explanation: Section 178. Nomination and Remuneration Committee and Stakeholders Relationship Committee: (5) The Board of Directors of a company which consists of more than one thousand shareholders, debenture -holders, deposit-holders, and any other security holders at any time during a financial year shall constitute a Stakeholders Relationship Committee consisting of a chairperson who shall be a non-executive director and such other members as may be decided by the Board.

13. Ans. a. A company,

Explanation: Section 182. Prohibitions and restrictions regarding political contributions: (1) Notwithstanding anything contained in any other provision of this Act, a company, other than a Government company and a company which has been in existence for less than three financial year, may contribute any amount directly or indirectly to any political party.

14. Ans. e. Both b & c,

Explanation: Section 184. Disclosure of interest by director: (1) Every director shall at the first meeting of the Board in which he participates as a director and thereafter at the first meeting of the Board in every financial year or whenever there is any change in the disclosures already made, then at the first Board meeting held after such change, disclose his concern or interest in any company or companies or bodies corporate, firms, or other association of individuals which shall include the shareholding, in such manner as may be prescribed.

15. Ans. d. Both a & c,

Explanation: Section 185. Loan to directors, etc.: (2) A company may advance any loan including any loan represented by a book debt, or give any guarantee or provide any security in connection with any loan taken by any person in whom any of the director of the company is interested, subject to the condition that— (a) a special resolution is passed by the company in general meeting: Provided that the explanatory statement to the notice for the relevant general meeting shall disclose the full particulars of the loans given, or guarantee given or security provided and the purpose for which the loan or guarantee or security is proposed to be utilised by the recipient of the loan or guarantee or security and any other relevant fact; and (b) the loans are utilised by the borrowing company for its principal business activities.

16. Ans. e. Both b & c,

Explanation: Section 185. Loan to directors, etc. (3) Nothing contained in sub-sections (1) and (2) shall apply to—(a) the giving of any loan to a managing or whole-time director—(i) as a part of the conditions of service extended by the company to all its employees; or (ii) pursuant to any scheme approved by the members by a special resolution; or (b) a company which in the ordinary course of its business provides loans or gives guarantees or securities for the due repayment of any loan and in respect of such loans an interest is charged at a rate not less than the rate of prevailing yield of one year, three year, five year or ten year Government security closest to the tenor of the loan; or (c) any loan made by a holding company to its wholly owned subsidiary company or any guarantee given or security provided by a holding company in respect of any loan made to its wholly owned subsidiary company; or (d) any guarantee given or security provided by a holding company in respect of loan made by any bank or financial institution to its subsidiary company: Provided that the loans made under clauses (c) and (d) are utilised by the subsidiary company for its principal business activities.

17. Ans. a. Managing director and a manager,

Explanation: Section 196. Appointment of managing director, whole-time director or manager: (1) No company shall appoint or employ at the same time a managing director and a manager.

18. Ans. e. Both a & b,

Explanation: Section 196. Appointment of managing director, whole-time director or manager: (3) No company shall appoint or continue the employment of any person as managing director, whole-time director or manager who — (a) is below the age of twenty-one years or has attained the age of seventy years: Provided that appointment of a person who has attained the age of seventy years may be made by passing a special resolution in which case the explanatory statement annexed to the notice for such motion shall indicate the justification for appointing such person; Provided further that where no such special resolution is passed but votes cast in favour of the motion exceed the votes, if any, cast against the motion and the Central Government is satisfied, on an application made by the Board, that such appointment is most beneficial to the company, the appointment of the person who has attained the age of seventy years may be made. (b) is an undischarged insolvent or has at any time been adjudged as an insolvent; (c) has at any time suspended payment to his creditors or makes, or has at any time made, a composition with them; or (d) has at any time been convicted by a court of an offence and sentenced for a period of more than six months.

19. Ans. c. A special resolution is passed,

Explanation: Section 196. Appointment of managing director, whole-time director or manager: (3) No company shall appoint or continue the employment of any person as managing director, whole-time director or manager who — (a) is below the age of twenty-one years or has attained the age of seventy years: Provided that appointment of a person who has attained the age of seventy years may be made by passing a special resolution

in which case the explanatory statement annexed to the notice for such motion shall indicate the justification for appointing such person; Provided further that where no such special resolution is passed but votes cast in favour of the motion exceed the votes, if any, cast against the motion and the Central Government is satisfied, on an application made by the Board, that such appointment is most beneficial to the company, the appointment of the person who has attained the age of seventy years may be made.

20. Ans. c. Not exceed eleven per cent of the net profits of that company for that financial year,

Explanation: Section 197. Overall maximum managerial remuneration and managerial remuneration in case of absence or inadequacy of profits: (1) The total managerial remuneration payable by a public company, to its directors, including managing director and whole-time director, and its manager in respect of any financial year shall not exceed eleven per cent. of the net profits of that company for that financial year computed in the manner laid down in section 198 except that the remuneration of the directors shall not be deducted from the gross profits.

21. Ans. d. All a b & c,

Explanation: Section 203: Appointment of key managerial personnel: (1) Every company belonging to such class or classes of companies as may be prescribed shall have the following whole-time key managerial personnel, (i) managing director, or Chief Executive Officer or manager and in their absence, a whole-time director; (ii) Company Secretary; and (iii) Chief Financial Officer.

22. Ans. b. In its subsidiary company at the same time,

Explanation: Section 203: Appointment of key managerial personnel: (3) A whole-time key managerial personnel shall not hold office in more than one company except in its subsidiary company at the same time.

23. Ans. a. Six months from the date of such vacancy,

Explanation: Section 203: Appointment of key managerial personnel: (4) If the office of any whole-time key managerial personnel is vacated, the resulting vacancy shall be filled-up by the Board at a meeting of the Board within a period of six months from the date of such vacancy.

24. Ans. b. Not be deemed to be invalid,

Explanation: Section 196. Appointment of managing director, whole-time director, or manager: (5) Subject to the provisions of this Act, where an appointment of a managing director, whole-time director or manager is not approved by the company at a general meeting, any act done by him before such approval shall not be deemed to be invalid.

25. Ans. b. The Central Government,

Explanation: Section 196. Appointment of managing director, whole-time director or manager: (4) Subject to the provisions of section 197 and Schedule V, a managing director, whole-time director or manager shall be appointed and the terms and conditions

of such appointment and remuneration payable be approved by the Board of Directors at a meeting which shall be subject to approval by a resolution at the next general meeting of the company and by the Central Government in case such appointment is at variance to the conditions specified in Part I of that Schedule.

26. Ans. d. All a or b or c,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (1) Where a compromise or arrangement is proposed— (a) between a company and its creditors or any class of them; or (b) between a company and its members or any class of them, the Tribunal may, on the application of the company or of any creditor or member of the company, or in the case of a company which is being wound up, of the liquidator appointed under this Act or under the Insolvency and Bankruptcy Code, 2016, as the case may be, order a meeting of the creditors or class of creditors, or of the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal directs.

27. Ans. d. All a b & c,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (2) The company or any other person, by whom an application is made under subsection(1), shall disclose to the Tribunal by affidavit— (a) all material facts relating to the company, such as the latest financial position of the company, the latest auditor's report on the accounts of the company and the pendency of any investigation or proceedings against the company; (b) reduction of share capital of the company, if any, included in the compromise or arrangement; (c) any scheme of corporate debt restructuring consented to by not less than seventy-five per cent. of the secured creditors in value, including— (i) a creditor's responsibility statement in the prescribed form; (ii) safeguards for the protection of other secured and unsecured creditors; (iii) report by the auditor that the fund requirements of the company after the corporate debt restructuring as approved shall conform to the liquidity test based upon the estimates provided to them by the Board; (iv) where the company proposes to adopt the corporate debt restructuring guidelines specified by the Reserve Bank of India, a statement to that effect; and (v) a valuation report in respect of the shares and the property and all assets, tangible and intangible, movable and immovable, of the company by a registered valuer.

28. Ans. c. Thirty days,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (8) The order of the Tribunal shall be filed with the Registrar by the company within a period of thirty days of the receipt of the order.

29. Ans. d. All a b & c,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (3) Where a meeting is proposed to be called in pursuance of an order of the Tribunal under sub-section (1), a notice of such meeting shall be sent to all the creditors

or class of creditors and to all the members or class of members and the debenture-holders of the company, individually at the address registered with the company which shall be accompanied by a statement disclosing the details of the compromise or arrangement, a copy of the valuation report, if any, and explaining their effect on creditors, key managerial personnel, promoters and non-promoter members, and the debenture-holders and the effect of the compromise or arrangement on any material interests of the directors of the company or the debenture trustees, and such other matters as may be prescribed.

30. Ans. d. All a b & c,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (3) Provided that such notice and other documents shall also be placed on the website of the company, if any, and in case of a listed company, these documents shall be sent to the Securities and Exchange Board and stock exchange where the securities of the companies are listed, for placing on their website and shall also be published in newspapers in such manner as may be prescribed.

31. Ans. b. One month,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (4) A notice under sub-section (3) shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within one month from the date of receipt of such notice.

32. Ans. e. Either b or c,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (4) A notice under sub-section (3) shall provide that the persons to whom the notice is sent may vote in the meeting either themselves or through proxies or by postal ballot to the adoption of the compromise or arrangement within one month from the date of receipt of such notice: Provided that any objection to the compromise or arrangement shall be made only by persons holding not less than ten per cent. of the shareholding or having outstanding debt amounting to not less than five per cent. of the total outstanding debt as per the latest audited financial statement.

33. Ans. e. All a b & c,

Explanation: Section 230. Power to compromise or make arrangements with creditors and members: (2) Where an order has been made by the Tribunal under sub-section (1), merging companies or the companies in respect of which a division is proposed, shall also be required to circulate the following for the meeting so ordered by the Tribunal, namely:— (a) the draft of the proposed terms of the scheme drawn up and adopted by the directors of the merging company; (b) confirmation that a copy of the draft scheme has been filed with the Registrar; (c) a report adopted by the directors of the merging companies explaining effect of compromise on each class of shareholders, key managerial personnel, promoters and non-promoter shareholders laying out in particular the share exchange

ratio, specifying any special valuation difficulties; (d) the report of the expert with regard to valuation, if any; (e) a supplementary accounting statement if the last annual accounts of any of the merging company relate to a financial year ending more than six months before the first meeting of the company summoned for the purposes of approving the scheme.

34. Ans. d. Both a & b,

Explanation: Section 233. Merger or amalgamation of certain companies: (1) Notwithstanding the provisions of section 230 and section 232, a scheme of merger or amalgamation may be entered into between two or more small companies or between a holding company and its wholly-owned subsidiary company or such other class or classes of companies as may be prescribed: Companies (Compromises, Arrangements and Amalgamations) Rules, 2016: (1A) A scheme of merger or amalgamation under section 233 of the Act may be entered into between any of the following class of companies, namely:- (i) two or more start-up companies; or (ii) one or more start-up company with one or more small company.

35. Ans. e. All a b & c,

Explanation: Section 233. Merger or amalgamation of certain companies: (1) Notwithstanding the provisions of section 230 and section 232, a scheme of merger or amalgamation may be entered into between two or more small companies or between a holding company and its wholly-owned subsidiary company or such other class or classes of companies as may be prescribed, subject to the following, namely:— (a) a notice of the proposed scheme inviting objections or suggestions, if any, from the Registrar and Official Liquidators where registered office of the respective companies are situated or persons affected by the scheme within thirty days is issued by the transferor company or companies and the transferee company; (b) the objections and suggestions received are considered by the companies in their respective general meetings and the scheme is approved by the respective members or class of members at a general meeting holding at least ninety per cent. Of the total number of shares; (c) each of the companies involved in the merger files a declaration of solvency, in the prescribed form, with the Registrar of the place where the registered office of the company is situated; and (d) the scheme is approved by majority representing nine-tenths in value of the creditors or class of creditors of respective companies indicated in a meeting convened by the company by giving a notice of twenty-one days along with the scheme to its creditors for the purpose or otherwise approved in writing.

36. Ans. c. Central Government,

Explanation: Section 233. Merger or amalgamation of certain companies: (4) If the Registrar or Official Liquidator has any objections or suggestions, he may communicate the same in writing to the Central Government within a period of thirty days: Provided that if no such communication is made, it shall be presumed that he has no objection to the scheme.

37. Ans. c. Reserve Bank of India,

Explanation: Section 234 Merger or amalgamation of company with foreign company: (2) Subject to the provisions of any other law for the time being in force, a foreign company, may with the prior approval of the Reserve Bank of India, merge into a company registered under this Act or vice versa and the terms and conditions of the scheme of merger may provide, among other things, for the payment of consideration to the shareholders of the merging company in cash, or in Depository Receipts, or partly in cash and partly in Depository Receipts, as the case may be, as per the scheme to be drawn up for the purpose.

38. Ans. b. Central Government,

Explanation: Section 241. Application to Tribunal for relief in cases of oppression, etc.: (1) Any member of a company who complains that— (a) the affairs of the company have been or are being conducted in a manner prejudicial to public interest or in a manner prejudicial or oppressive to him or any other member or members or in a manner prejudicial to the interests of the company; or (b) the material change, not being a change brought about by, or in the interests of, any creditors, including debenture holders or any class of shareholders of the company, has taken place in the management or control of the company, whether by an alteration in the Board of Directors, or manager, or in the ownership of the company's shares, or if it has no share capital, in its membership, or in any other manner whatsoever, and that by reason of such change, it is likely that the affairs of the company will be conducted in a manner prejudicial to its interests or its members or any class of members, may apply to the Tribunal, provided such member has a right to apply under section 244, for an order under this Chapter. (2) The Central Government, if it is of the opinion that the affairs of the company are being conducted in a manner prejudicial to public interest, it may itself apply to the Tribunal for an order under this Chapter. Provided that the applications under this sub-section, in respect of such company or class of companies, as may be prescribed, shall be made before the Principal Bench of the Tribunal which shall be dealt with by such Bench.

39. Ans. b. Not less than one-fifth of the total number of its members,

Explanation: Section 244. Right to apply under section 241: (1) The following members of a company shall have the right to apply under section 241, namely: — (b) in the case of a company not having a share capital, not less than one-fifth of the total number of its members.

40. Ans. d Either a or c,

Explanation: Section 244. Right to apply under section 241: (1) The following members of a company shall have the right to apply under section 241, namely:— (a) in the case of a company having a share capital, not less than one hundred members of the company or not less than one-tenth of the total number of its members, whichever is less, or any member or members holding not less than one tenth of the issued share capital of the company, subject to the condition that the applicant or applicants has or have paid all calls and other sums due on his or their shares.

41. Ans. e. Both a & c,

Explanation: Section 244. Right to apply under section 241: (1) Such number of member or members, depositor or depositors or any class of them, as the case may be, as are indicated in sub-section (2) may, if they are of the opinion that the management or conduct of the affairs of the company are being conducted in a manner prejudicial to the interests of the company or its members or depositors, file an application before the Tribunal on behalf of the members or depositors for seeking all or any of the following orders, namely:— (a) to restrain the company from committing an act which is ultra vires the articles or memorandum of the company; (b) to restrain the company from committing breach of any provision of the company's memorandum or articles; (c) to declare a resolution altering the memorandum or articles of the company as void if the resolution was passed by suppression of material facts or obtained by mis-statement to the members or depositors; (d) to restrain the company and its directors from acting on such resolution; (e) to restrain the company from doing an act which is contrary to the provisions of this Act or any other law for the time being in force; (f) to restrain the company from taking action contrary to any resolution passed by the members; (g) to claim damages or compensation or demand any other suitable action from or against— (i) the company or its directors for any fraudulent, unlawful or wrongful act or omission or conduct or any likely act or omission or conduct on its or their part; (ii) the auditor including audit firm of the company for any improper or misleading statement of particulars made in his audit report or for any fraudulent, unlawful or wrongful act or conduct; or (iii) any expert or advisor or consultant or any other person for any incorrect or misleading statement made to the company or for any fraudulent, unlawful or wrongful act or conduct or any likely act or conduct on his part; (h) to seek any other remedy as the Tribunal may deem fit.

42. Ans. c. Not be less than one hundred depositors,

Explanation: Section 245. Class action: (ii) The requisite number of depositors provided in sub-section (1) shall not be less than one hundred depositors or not less than such percentage of the total number of depositors as may be prescribed, whichever is less, or any depositor or depositors to whom the company owes such percentage of total deposits of the company as may be prescribed.

43. Ans. d. Within three months from the date of its presentation,

Explanation: Section 422. Expeditious disposal by Tribunal and Appellate Tribunal: (1) Every application or petition presented before the Tribunal and every appeal filed before the Appellate Tribunal shall be dealt with and disposed of by it as expeditiously as possible and every endeavour shall be made by the Tribunal or the Appellate Tribunal, as the case may be, for the disposal of such application or petition or appeal within three months from the date of its presentation before the Tribunal or the filing of the appeal before the Appellate Tribunal.

44. Ans. d. Ninety days,

Explanation: Section 422. Expeditious disposal by Tribunal and Appellate Tribunal(2) Where any application or petition or appeal is not disposed of within the period specified in sub-section (1), the Tribunal or, as the case may be, the Appellate Tribunal, shall record the reasons for not disposing of the application or petition or the appeal, as the case may be, within the period so specified; and the President or the Chairperson, as the case may be, may, after taking into account the reasons so recorded, extend the period referred to in sub-section (1) by such period not exceeding ninety days as he may consider necessary.

45. Ans. c. A member, whether Judicial or Technical of the Tribunal or the Appellate Tribunal and includes the President or the Chairperson, as the case may be,

Explanation: 407. Definitions: (c) "Member" means a member, whether Judicial or Technical of the Tribunal or the Appellate Tribunal and includes the President or the Chairperson, as the case may be.

46. Ans. d. Central Government,

Explanation: Section 408. Constitution of National Company Law Tribunal: The Central Government shall, by notification, constitute, with effect from such date as may be specified therein, a Tribunal to be known as the National Company Law Tribunal consisting of a President and such number of Judicial and Technical members, as the Central Government may deem necessary, to be appointed by it by notification, to exercise and discharge such powers and functions as are, or may be, conferred on it by or under this Act or any other law for the time being in force.

47. Ans. e. Both b & c, Explanation: Section 409. Qualification of President and Members of Tribunal: (2) A person shall not be qualified for appointment as a Judicial Member unless he— (a) is, or as been, a judge of a High Court; or (b) is, or has been, a District Judge for at least five years; or (c) has, for at least ten years been an advocate of a court.

48. Ans. c. National Company Law Appellate Tribunal,

Explanation: Section 421. Appeal from orders of Tribunal: (1) Any person aggrieved by an order of the Tribunal may prefer an appeal to the Appellate Tribunal.

49. Ans. a. Forty-five days,

Explanation: Section 421. Appeal from orders of Tribunal: (3) Every appeal under sub-section (1) shall be filed within a period of forty-five days from the date on which a copy of the order of the Tribunal is made available to the person aggrieved and shall be in such form, and accompanied by such fees, as may be prescribed: Provided that the Appellate Tribunal may entertain an appeal after the expiry of the said period of forty-five days from the date aforesaid, but within a further period not exceeding forty-five days, if it is satisfied that the appellant was prevented by sufficient cause from filing the appeal within that period.

50. Ans. a. True,

Explanation: Section 430. Civil court not to have jurisdiction: No civil court shall have jurisdiction to entertain any suit or proceeding in respect of any matter which the Tribunal or the Appellate Tribunal is empowered to determine by or under this Act or any other law for the time being in force and no injunction shall be granted by any court or other authority in respect of any action taken or to be taken in pursuance of any power conferred by or under this Act or any other law for the time being in force, by the Tribunal or the Appellate Tribunal.

51. Ans. e. Either a or b,

Explanation: Section 410. Constitution of Appellate Tribunal: The Central Government shall, by notification, constitute, with effect from such date as may be specified therein, an Appellate Tribunal to be known as the National Company Law Appellate Tribunal consisting of a chairperson and such number of Judicial and Technical Members, as the Central Government may deem fit, to be appointed by it by notification, or hearing appeals against,— (a) the orders of the Tribunal or of the National Financial Reporting Authority under this Act; and (b) any direction, decision or order referred to in section 53A of the Competition Act, 2002 in accordance with the provisions of that Act.

52. Ans. a. Be eligible for re-appointment for another term of five years,

Explanation: Section 413. Term of office of President, chairperson and other Members: (1) The President and every other Member of the Tribunal shall hold office as such for a term of five years from the date on which he enters upon his office, but shall be eligible for re-appointment for another term of five years.

53. Ans. c. Not exceeding one year,

Explanation: Section 413. Term of office of President, chairperson and other Members: Provided further that the Member may retain his lien with his parent cadre or Ministry or Department, as the case may be, while holding office as such for a period not exceeding one year.

54. Ans. b. Seventy years,

Explanation: Section 413. Term of office of President, chairperson and other Members: (4) A Member of the Appellate Tribunal shall hold office as such until he attains,— (a) in the case of the Chairperson, the age of seventy years; (b) in the case of any other Member, the age of sixty-seven years.

55. Ans. d. Sixty-seven years,

Explanation: Section 413. Term of office of President, chairperson and other Members: (2) A Member of the Tribunal shall hold office as such until he attains— (a) in the case of the President, the age of sixty-seven years; (b) in the case of any other Member, the age of sixty-five years.

56. Ans. d. Both a & b,

Explanation: Section 435. Establishment of Special Courts: (2) A Special Court shall consist of— (a) a single judge holding office as Session Judge or Additional Session Judge, in case of offences punishable under this Act with imprisonment of two years or more; and (b) a Metropolitan Magistrate or a Judicial Magistrate of the First Class, in the case of other offences, who shall be appointed by the Central Government with the concurrence of the Chief Justice of the High Court within whose jurisdiction the judge to be appointed is working.

57. Ans. b. Imprisonment for a term not exceeding three years,

Explanation: (3) Notwithstanding anything contained in the Code of Criminal Procedure, 1973, the Special Court may, if it thinks fit, try in a summary way any offence under this Act which is punishable with imprisonment for a term not exceeding three years: Provided that in the case of any conviction in a summary trial, no sentence of imprisonment for a term exceeding one year shall be passed.

58. Ans. d. All a b & c,

Explanation: Section 450. Punishment where no specific penalty or punishment is provided: If a company or any officer of a company or any other person contravenes any of the provisions of this Act or the rules made thereunder, or any condition, limitation or restriction subject to which any approval, sanction, consent, confirmation, recognition, direction or exemption in relation to any matter has been accorded, given or granted, and for which no penalty or punishment is provided elsewhere in this Act, the company and every officer of the company who is in default or such other person shall be liable to a penalty of ten thousand rupees, and in case of continuing contravention, with a further penalty of one thousand rupees for each day after the first during which the contravention continues, subject to a maximum of two lakh rupees in case of a company and fifty thousand rupees in case of an officer who is in default or any other person.

59. Ans. d. All a b & c,

Explanation: Section 455. Dormant company: (1) Where a company is formed and registered under this Act for a future project or to hold an asset or intellectual property and has no significant accounting transaction, such a company or an inactive company may make an application to the Registrar in such manner as may be prescribed for obtaining the status of a dormant company. Companies (Miscellaneous) Rules, 2014: A dormant company shall have a minimum number of three directors in case of a public company, two directors in case of a private company and one director in case of a One Person Company: Provided that the provisions of the Act in relation to the rotation of auditors shall not apply on dormant companies.

60. Ans. a. Two financial years consecutively,

Explanation: Section 455. Dormant company: (4) In case of a company which has not filed financial statements or annual returns for two financial years consecutively, the Registrar

shall issue a notice to that company and enter the name of such company in the register maintained for dormant companies.

61. Ans. d. All a b & c,

Explanation: Section 455. Dormant company: (ii) "significant accounting transaction" means any transaction other than— (a) payment of fees by a company to the Registrar; (b) payments made by it to fulfil the requirements of this Act or any other law; (c) allotment of shares to fulfil the requirements of this Act; and (d) payments for maintenance of its office and records.

62. Ans. e. Either a or b or c,

Explanation: Section 455. Dormant company: (i) "inactive company" means a company which has not been carrying on any business or operation, or has not made any significant accounting transaction during the last two financial years, or has not filed financial statement and annual returns during the last two financial years.

63. Ans. d. Both a & b,

Explanation: Section 447. Punishment for fraud: Without prejudice to any liability including repayment of any debt under this Act or any other law for the time being in force, any person who is found to be guilty of fraud involving an amount of at least ten lakh rupees or one percent. of the turnover of the company, whichever is lower, shall be punishable with imprisonment for a term which shall not be less than six months but which may extend to ten years and shall also be liable to fine which shall not be less than the amount involved in the fraud, but which may extend to three times the amount involved in the fraud.

64. Ans. e. Either a or b or with both a & b,

Explanation: Section 447. Punishment for fraud: Provided further that where the fraud involves an amount less than ten lakh rupees or one per cent. of the turnover of the company, whichever is lower, and does not involve public interest, any person guilty of such fraud shall be punishable with imprisonment for a term which may extend to five years or with fine which may extend to fifty lakh rupees or with both.

65. Ans. b. Twice the amount of fine for such offence in addition to any imprisonment provided for that offence,

Explanation: Section 451. Punishment in case of repeated default: If a company or an officer of a company commits an offence punishable either with fine or with imprisonment and where the same offence is committed for the second or subsequent occasions within a period of three years, then, that company and every officer thereof who is in default shall be punishable with twice the amount of fine for such offence in addition to any imprisonment provided for that offence.

66. Ans. b. National Company Law Appellate Tribunal constituted under section 410,
Explanation: Section 2(4) Appellate Tribunal: "Appellate Tribunal" means the National Company Law Appellate Tribunal constituted under section 410.

67. Ans. b. Prohibits any invitation to the public to subscribe for any securities of the company,
Explanation: Section 2(68) private company: "private company" means a company having a minimum paid-up share capital as may be prescribed, and which by its articles,— (i) restricts the right to transfer its shares; (ii) except in case of One Person Company, limits the number of its members to two hundred: Provided that where two or more persons hold one or more shares in a company jointly, they shall, for the purposes of this clause, be treated as a single member.

68. Ans. d. All a b & c,

Explanation: Section 2(76). Related party: "related party", with reference to a company, means—(i) a director or his relative; (ii) a key managerial personnel or his relative; (iii) a firm, in which a director, manager or his relative is a partner; (iv) a private company in which a director or manager or his relative is a member or director; (v) a public company in which a director or manager is a director or and holds along with his relatives, more than two per cent of its paid-up share capital; (vi) any body corporate whose Board of Directors, managing director or manager is accustomed to act in accordance with the advice, directions or instructions of a director or manager; (vii) any person on whose advice, directions or instructions a director or manager is accustomed to act: Provided that nothing in sub-clauses (vi) and (vii) shall apply to the advice, directions or instructions given in a professional capacity; (viii) anybody corporate which is— (A) a holding, subsidiary or an associate company of such company; (B) a subsidiary of a holding company to which it is also a subsidiary; or (C) an investing company or the venturer of a company.

69. Ans. a. Unlimited company,

Explanation: Section 2(92) "unlimited company" means a company not having any limit on the liability of its members.

70. Ans. d. All a b & c,

Explanation: Section 2(55) member: "member", in relation to a company, means— (i) the subscriber to the memorandum of the company who shall be deemed to have agreed to become member of the company, and on its registration, shall be entered as member in its register of members; (ii) every other person who agrees in writing to become a member of the company and whose name is entered in the register of members of the company; (iii) every person holding shares of the company and whose name is entered as a beneficial owner in the records of a depository.

71. Ans. b. Production, harvesting, procurement, grading, pooling, handling, marketing, selling, export of primary produce of the Members or import of goods or services for their benefit,

Explanation: Section 378B - Objects of Producer Company: (1) The objects of the Producer Company shall relate to all or any of the following matters, namely:— "(a)

production, harvesting, procurement, grading, pooling, handling, marketing, selling, export of primary produce of the Members or import of goods or services for their benefit: Provided that the Producer Company may carry on any of the activities specified in this clause either by itself or through other institution; (b) processing including preserving, drying, distilling, brewing, vinting, canning and packaging of produce of its Members; (c) manufacture, sale or supply of machinery, equipment or consumables mainly to its Members; (d) providing education on the mutual assistance principles to its Members and others; (e) rendering technical services, consultancy services, training, research and development and all other activities for the promotion of the interests of its Members; (f) generation, transmission and distribution of power, revitalisation of land and water resources, their use, conservation and communications relatable to primary produce; (g) insurance of producers or their primary produce; (h) promoting techniques of mutuality and mutual assistance; (i) welfare measures or facilities for the benefit of Members as may be decided by the Board; (j) any other activity, ancillary or incidental to any of the activities referred to in clauses (a) to (i) or other activities which may promote the principles of mutuality and mutual assistance amongst the Members in any other manner; (k) financing of procurement, processing, marketing or other activities specified in clauses (a) to (j) which include extending of credit facilities or any other financial services to its Members.”

72. Ans. c. Generation and distribution of power from renewable sources,

Explanation: Section 378B - Objects of Producer Company: (1) The objects of the Producer Company shall relate to all or any of the following matters, namely:— “(a) production, harvesting, procurement, grading, pooling, handling, marketing, selling, export of primary produce of the Members or import of goods or services for their benefit: Provided that the Producer Company may carry on any of the activities specified in this clause either by itself or through other institution; (b) processing including preserving, drying, distilling, brewing, vinting, canning and packaging of produce of its Members; (c) manufacture, sale or supply of machinery, equipment or consumables mainly to its Members; (d) providing education on the mutual assistance principles to its Members and others; (e) rendering technical services, consultancy services, training, research and development and all other activities for the promotion of the interests of its Members; (f) generation, transmission and distribution of power, revitalisation of land and water resources, their use, conservation and communications relatable to primary produce; (g) insurance of producers or their primary produce; (h) promoting techniques of mutuality and mutual assistance; (i) welfare measures or facilities for the benefit of Members as may be decided by the Board; (j) any other activity, ancillary or incidental to any of the activities referred to in clauses (a) to (i) or other activities which may promote the principles of mutuality and mutual assistance amongst the Members in any other manner; (k) financing of procurement, processing, marketing or other activities specified in clauses (a) to (j) which include extending of credit facilities or any other financial services to its Members.”

73. Ans. a. Import of goods or services for Members,
Explanation: Section 378B - Objects of Producer Company: Producer Company can import goods or services that are beneficial for its Members through other institutions. This provision allows the Producer Company to collaborate with other entities or intermediaries for the efficient and cost-effective import of goods or services required by its Members.
74. Ans. b. Active Members, who actively participate in the company's affairs,
Explanation: Section 378B - Objects of Producer Company: (2) Every Producer Company shall deal primarily with the produce of its active Members for carrying out any of its objects specified in this section.
75. Ans. c. Any ten or more individuals, each of them being a producer,
Explanation: Section 378C - Formation of Producer Company and its registration: (1) Any ten or more individuals, each of them being a producer or any two or more Producer Institutions, or a combination of ten or more individuals and Producer Institutions, desirous of forming a Producer Company having its objects specified in section 378B and otherwise complying with the requirements of this Chapter and the provisions of this Act in respect of registration, may form an incorporated company as a Producer Company under the Companies Act.
76. Ans. e. The individuals forming the company must comply with the requirements of Section 378B and otherwise complying with the requirements of Chapter XXIA,
Explanation: Section 378C - Formation of Producer Company and its registration: (1) Any ten or more individuals, each of them being a producer or any two or more Producer Institutions, or a combination of ten or more individuals and Producer Institutions, desirous of forming a Producer Company having its objects specified in section 378B and otherwise complying with the requirements of this Chapter and the provisions of this Act in respect of registration, may form an incorporated company as a Producer Company under the Companies Act.
77. Ans. b. Within thirty days, Explanation: Section 378C - Formation of Producer Company and its registration: (2) If the Registrar is satisfied that all the requirements of this Act have been complied with in respect of registration and matters precedent and incidental thereto, he shall, within thirty days of the receipt of the documents required for registration, register the memorandum, the articles and other documents, if any, and issue a certificate of incorporation under this Act.
78. Ans. d. The company's Memorandum of Association and Articles of association,
Explanation: Section 378C - Formation of Producer Company and its registration: (2) If the Registrar is satisfied that all the requirements of this Act have been complied with in respect of registration and matters precedent and incidental thereto, he shall, within thirty days of the receipt of the documents required for registration, register the memorandum,

the articles and other documents, if any, and issue a certificate of incorporation under this Act.

79. Ans. d. The Members' liability is limited to the amount unpaid on their shares,
Explanation: Section 378C - Formation of Producer Company and its registration: (3) A Producer Company so formed shall have the liability of its Members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them and be termed a company limited by shares.
80. Ans. c. It is limited by the Memorandum to the amount unpaid on their shares,
Explanation: Section 378C - Formation of Producer Company and its registration: (3) A Producer Company so formed shall have the liability of its Members limited by the memorandum to the amount, if any, unpaid on the shares respectively held by them and be termed a company limited by shares.
81. Ans. d. All direct costs associated with the promotion and registration, including legal fees and printing costs,
Explanation: Section 378C - Formation of Producer Company and its registration: (4) The Producer Company may reimburse to its promoters all other direct costs associated with the promotion and registration of the company including registration, legal fees, printing of a memorandum and articles and the payment thereof shall be subject to the approval at its first general meeting of the Members.
82. Ans. b. Reimbursement is subject to approval at the first general meeting of the Members,
Explanation: Section 378C - Formation of Producer Company and its registration: (4) The Producer Company may reimburse to its promoters all other direct costs associated with the promotion and registration of the company including registration, legal fees, printing of a memorandum and articles and the payment thereof shall be subject to the approval at its first general meeting of the Members.
83. Ans. c. It becomes a body corporate similar to a private limited company,
Explanation: Section 378C - Formation of Producer Company and its registration: (5) On registration under sub-section (2), the Producer Company shall become a body corporate as if it is a private limited company to which the provisions contained in this Chapter apply, without, however, any limit to the number of Members thereof, and the Producer Company shall not, under any circumstance, whatsoever, become or be deemed to become a public limited company under this Act.

84. Ans. b. Individual Members get single vote, irrespective of their shareholding or patronage,

Explanation: Section 378D - Membership and voting rights of Members of Producer Company: (1)(a) In a case where the membership consists solely of individual Members, the voting rights shall be based on a single vote for every Member, irrespective of his shareholding or patronage of the Producer Company.

85. Ans. b. Voting rights are based on the shareholding of each Producer Institution,

Explanation: Section 378D - Membership and voting rights of Members of Producer Company: (1) b) In a case where the membership consists of Producer Institutions only, the voting rights of such Producer Institutions shall be determined on the basis of their participation in the business of the Producer Company in the previous year, as may be specified by articles: Provided that during the first year of registration of a Producer Company, the voting rights shall be determined on the basis of the shareholding by such Producer Institutions.

86. Ans. b. Their participation in the business in the previous year, as may be specified by Articles,

Explanation: Section 378D - Membership and voting rights of Members of Producer Company: (1) b) In a case where the membership consists of Producer Institutions only, the voting rights of such Producer Institutions shall be determined on the basis of their participation in the business of the Producer Company in the previous year, as may be specified by articles: Provided that during the first year of registration of a Producer Company, the voting rights shall be determined on the basis of the shareholding by such Producer Institutions.

87. Ans. a. Each individual Member and Producer Institution gets one vote each,

Explanation: Section 378D - Membership and voting rights of Members of Producer Company: (1) (c) In a case where the membership consists of individuals and Producer Institutions, the voting rights shall be computed on the basis of a single vote for every Member.

88. Ans. e. Both a & d,

Explanation: Section 378D - Membership and voting rights of Members of Producer Company: (5) A Member, who acquires any business interest which is in conflict with the business of the Producer Company, shall cease to be a Member of that Company and be removed as a Member in accordance with the articles.

89. Ans. b. Only those individuals who have no business interests in conflict with business of the Producer Company,
Explanation: Section 378D - Membership and voting rights of Members of Producer Company: (4) No person, who has any business interest which is in conflict with business of the Producer Company, shall become a Member of that Company.
90. Ans. c. Yes, a Producer Company can restrict voting rights to active Members if authorised by its Articles,
Explanation: Section 378D - Membership and voting rights of Members of Producer Company: (3) Notwithstanding anything contained in sub-section (1) or sub-section (2), any Producer Company may, if so authorised by its articles, restrict the voting rights to active Members, in any special or general meeting.
91. Ans. d. Cash or kind or equity shares, as determined by the Board,
Explanation: Section 378E - Benefits to Members: (1) Subject to the provisions made in articles, every Member shall initially receive only such value for the produce or products pooled and supplied as the Board of Producer Company may determine, and the withheld price may be disbursed later in cash or in kind or by allotment of equity shares, in proportion to the produce supplied to the Producer Company during the financial year to such extent and in such manner and subject to such conditions as may be decided by the Board.
92. Ans. a. The Board will determine the initial value,
Explanation: Section 378E - Benefits to Members: (1) Subject to the provisions made in articles, every Member shall initially receive only such value for the produce or products pooled and supplied as the Board of Producer Company may determine, and the withheld price may be disbursed later in cash or in kind or by allotment of equity shares, in proportion to the produce supplied to the Producer Company during the financial year to such extent and in such manner and subject to such conditions as may be decided by the Board.
93. Ans. b. A limited return on their investment,
Explanation: Section 378E - Benefits to Members: (2) Every Member shall, on the share capital contributed, receive only a limited return: Provided that every such Member may be allotted bonus shares in accordance with the provisions contained in section 378ZJ.
94. Ans. d. Both a & c,
Explanation: Section 378F - Memorandum of Producer Company: (a) the name of the company with "Producer Company Limited" as the last words of the name of such Company; (b) the State in which the registered office of the Producer Company is to situate; (c) the main objects of the Producer Company shall be one or more of the objects specified in section 378B; (d) the names and addresses of the persons who have subscribed to the memorandum; (e) the amount of share capital with which the Producer

Company is to be registered and division thereof into shares of a fixed amount; (f) the names, addresses and occupations of the subscribers being producers, who shall act as the first directors in accordance with sub-section (2) of section 378J; (g) that the liability of its members is limited; (h) against the subscriber's name, the number of shares each subscriber takes: Provided that no subscriber shall take less than one share; (i) that in case the objects of the Producer Company are not confined to one State, the States to whose territories the objects extend.

95. Ans. e. All a b & c,

Explanation: Section 378G - Articles of association: (2) The articles shall contain the following mutual assistance principles, namely:— (a) the membership shall be voluntary and available, to all eligible persons who, can participate or avail of the facilities or services of the Producer Company, and are willing to accept the duties of membership; (b) each Member shall, save as otherwise provided in this Chapter, have only a single vote irrespective of the shareholding; (c) the Producer Company shall be administered by a Board consisting of persons elected or appointed as directors in the manner consistent with the provisions of this Chapter and the Board shall be accountable to the Members; (d) particulars on limited return on share capital; (e) the surplus arising out of the operations of the Producer Company shall be distributed in an equitable manner by— (i) providing for the development of the business of the Producer Company; (ii) providing for common facilities; and (iii) distributing amongst the Members, as may be admissible in proportion to their respective participation in the business; (f) provision for the education of Members, employees and others, on the principles of mutuality and techniques of mutual assistance; (g) the Producer Company shall actively co-operate with other Producer Companies (and other organisations following similar principles) at local, national or international level so as to best serve the interest of their Members and the communities it purports to serve.

96. Ans. c. By a special resolution, if the alteration is consistent with section 378B,
Explanation: Section 378H - Amendment of memorandum: (2) A Producer Company may, by special resolution, not inconsistent with section 378B, alter its objects specified in its memorandum.

97. Ans. c. A copy of the amended memorandum, together with a copy of the special resolution duly certified by two directors, shall be filed with the Registrar within thirty days from the date of adoption of any resolution,

Explanation: Section 378H - Amendment of memorandum: (3) A copy of the amended memorandum, together with a copy of the special resolution duly certified by two directors, shall be filed with the Registrar within thirty days from the date of adoption of any resolution referred to in sub-section (2): Provided that in the case of transfer of the registered office

of a Producer Company from the jurisdiction of one Registrar to another, certified copies of the special resolution certified by two directors shall be filed with both the Registrars within thirty days, and each Registrar shall record the same, and thereupon the Registrar from whose jurisdiction the office is transferred, shall forthwith forward to the other Registrar all documents relating to the Producer Company.

98. Ans. a. By two directors,

Explanation: Section 378H - Amendment of memorandum: (3) A copy of the amended memorandum, together with a copy of the special resolution duly certified by two directors, shall be filed with the Registrar within thirty days from the date of adoption of any resolution referred to in sub-section (2): Provided that in the case of transfer of the registered office of a Producer Company from the jurisdiction of one Registrar to another, certified copies of the special resolution certified by two directors shall be filed with both the Registrars within thirty days, and each Registrar shall record the same, and thereupon the Registrar from whose jurisdiction the office is transferred, shall forthwith forward to the other Registrar all documents relating to the Producer Company.

99. Ans. d. It is approved by the Central Government on an application,

Explanation: Section 378H - Amendment of memorandum: (4) The alteration of the provisions of memorandum relating to the change of the place of its registered office from one State to another shall not take effect unless it is approved by the Central Government on an application in such form and manner as may be prescribed.

100. Ans. d. Either a or c,

Explanation: Section 378-I Amendment of articles: (1) Any amendment of the articles shall be proposed by not less than two-thirds of the elected directors or by not less than one-third of the Members of the Producer Company, and adopted by the Members by a special resolution.

101. Ans. b. Fifteen days,

Explanation: Section 378-I Amendment of articles: (2) A copy of the amended articles together with the copy of the special resolution, both duly certified by two directors, shall be filed with the Registrar within fifteen days from the date of its adoption.

102. Ans. e. Both b & c,

Explanation: Section 378J - Option to inter-State co-operative societies to become Producer Companies: (2) Every application under sub-section (1) shall be accompanied by—(a) a copy of the special resolution, of not less than two-thirds of total members of inter-State co-operative society, for its incorporation as a Producer Company under this Act; (b) a statement showing— (i) names and addresses or the occupation of the directors and the Chief Executive, if any, by whatever name called, of such co-operative; and (ii) list of members of such inter-State co-operative society; (c) a statement indicating that the inter-State co-operative society is engaged in any one or more of the objects specified in section 378B; (d) a declaration by two or more directors of the inter-State co-operative society certifying that particulars given in clauses (a) to (c) are correct.

103. Ans. d. Either a or b or c,

Explanation: Section 378J - Option to inter-State co-operative societies to become Producer Companies: (5) A co-operative society formed by producers, by federation or union of co-operative societies of producers or co-operatives of producers, registered under any law for the time being in force which has extended its objects outside the State, either directly or through a union or federation of co-operatives of which it is a constituent, as the case may be, and any federation or unions of such co-operatives, which has so extended any of its objects or activities outside the State, shall be eligible to make an application and to obtain registration as a Producer Company.

104. Ans. c. At least five and not more than fifteen directors,

Explanation: Section 378-O Number of directors: Every Producer Company shall have at least five and not more than fifteen directors: Provided that in the case of an inter-State co-operative society incorporated as a Producer Company, such company may have more than fifteen directors for a period of one year from the date of its incorporation as a Producer Company.

105. Ans. a. One year,

Explanation: Section 378-O Number of directors: Every Producer Company shall have at least five and not more than fifteen directors: Provided that in the case of an inter-State co-operative society incorporated as a Producer Company, such company may have more than fifteen directors for a period of one year from the date of its incorporation as a Producer Company.

106. Ans. d. The Members who sign the Memorandum and Articles,

Explanation: Section 378P - Appointment of directors: (1) Save as otherwise provided in section 378N, the Members who sign the memorandum and the articles may designate therein the Board of Directors, not less than five, who shall govern the affairs of the Producer Company until the directors are elected in accordance with the provisions of this section.

107. Ans. d. Three hundred and sixty-five days,

Explanation: Section 378P - Appointment of directors: (2) The election of directors shall be conducted within a period of ninety days of the registration of the Producer Company: Provided that in the case of an inter-State co-operative society which has been registered as a Producer Company under sub-section (4) of section 378J in which at least five directors [including the directors continuing in office under sub-section (1) of section 378N] hold office as such on the date of registration of such company, the provisions of this sub-section shall have effect as if for the words "ninety days", the words "three hundred and sixty-five days" had been substituted.

108. Ans. a. Not less than one year but not exceeding five years,

Explanation: Section 378P - Appointment of directors: (3) Every person shall hold office of a director for a period not less than one year but not exceeding five years as may be specified in the articles.

109. Ans. e. Yes, if the director retires as per the Articles of Association,

Explanation: Section 378P - Appointment of directors: 4) Every director, who retires in accordance with the articles, shall be eligible for re-appointment as a director.

110. Ans. d. Members of the Company,

Explanation: Section 378P - Appointment of directors: (5) Save as otherwise provided in sub-section (2), the directors of the Board shall be elected or appointed by the Members in the annual general meeting.

111. Ans. c. Annual General Meeting,

Explanation: Section 378P - Appointment of directors: (5) Save as otherwise provided in sub-section (2), the directors of the Board shall be elected or appointed by the Members in the annual general meeting.

112. As per section 378P of the Companies Act how is the appointment or co-opting of Ans.
a. By the Board,

Explanation: Section 378P - Appointment of directors: (6) The Board may co-opt one or more expert directors or an additional director not exceeding one-fifth of the total number of directors or appoint any other person as additional director for such period as the Board may deem fit: Provided that the expert directors shall not have the right to vote in the election of the Chairman but shall be eligible to be elected as Chairman, if so provided by

its articles: Provided further that the maximum period, for which the expert director or the additional director holds office, shall not exceed such period as may be specified in the articles.

113. Ans. c. Not exceeding one-fifth of the total number of directors,

Explanation: Section 378P - Appointment of directors: (6) The Board may co-opt one or more expert directors or an additional director not exceeding one-fifth of the total number of directors or appoint any other person as additional director for such period as the Board may deem fit: Provided that the expert directors shall not have the right to vote in the election of the Chairman but shall be eligible to be elected as Chairman, if so provided by its articles: Provided further that the maximum period, for which the expert director or the additional director holds office, shall not exceed such period as may be specified in the articles.

114. Ans. e. All a b & c,

Explanation: Section 378P - Appointment of directors: (6) The Board may co-opt one or more expert directors or an additional director not exceeding one-fifth of the total number of directors or appoint any other person as additional director for such period as the Board may deem fit: Provided that the expert directors shall not have the right to vote in the election of the Chairman but shall be eligible to be elected as Chairman, if so provided by its articles: Provided further that the maximum period, for which the expert director or the additional director holds office, shall not exceed such period as may be specified in the articles.

115. Ans. d. Both a & c,

Explanation: Section 378Q - Vacation of office by directors: (1) The office of the director of a Producer Company shall become vacant if: (a) he is convicted by a court of any offence involving moral turpitude and sentenced in respect thereof to imprisonment for not less than six months; (b) the Producer Company, in which he is a director, has made a default in repayment of any advances or loans taken from any company or institution or any other person and such default continues for ninety days; (c) he has made a default in repayment of any advances or loans taken from the Producer Company in which he is a director; (d) the Producer Company, in which he is a director— (i) has not filed the annual accounts and annual return for any continuous three financial years; or (ii) has failed to, repay its deposit or withheld price or patronage bonus or interest thereon on due date, or pay dividend and such failure continues for one year or more; (e) default is made in holding election for the office of director, in the Producer Company in which he is a director, in accordance with the provisions of this Act and articles; (f) the annual general meeting or extraordinary general meeting of the Producer Company, in which he is a director, is not

called in accordance with the provisions of this Act except due to natural calamity or such other reason.

116. Ans. d. Acquisition or disposal of property of the Producer Company even if not in its ordinary course of business,

Explanation: Section 378R - Powers and functions of Board: (2) In particular and without prejudice to the generality of the foregoing powers, such powers may include all or any of the following matters, namely:— (a) determination of the dividend payable; (b) determination of the quantum of withheld price and recommend patronage to be approved at general meeting; (c) admission of new Members; (d) pursue and formulate the organisational policy, objectives, establish specific long-term and annual objectives, and approve corporate strategies and financial plans; (e) appointment of a Chief Executive and such other officers of the Producer Company, as may be specified in the articles; (f) exercise superintendence, direction and control over Chief Executive and other officers appointed by it; (g) cause proper books of account to be maintained; prepare annual accounts to be placed before the annual general meeting with the report of the auditor and the replies on qualifications, if any, made by the auditors; (h) acquisition or disposal of property of the Producer Company in its ordinary course of business; (i) investment of the funds of the Producer Company in the ordinary course of its business; (j) sanction any loan or advance, in connection with the business activities of the Producer Company to any Member, not being a director or his relative; (k) take such other measures or do such other acts as may be required in the discharge of its functions or exercise of its powers.

117. Ans. d. All a b & c,

Explanation: Section 378S - Matters to be transacted at general meeting: The Board of Directors of a Producer Company shall exercise the following powers on behalf of that Company, and it shall do so only by means of resolutions passed at the annual general meeting of its Members, namely:— (a) approval of budget and adoption of annual accounts of the Producer Company; (b) approval of patronage bonus; (c) issue of bonus shares; (d) declaration of limited return and decision on the distribution of patronage; (e) specify the conditions and limits of loans that may be given by the Board to any director; and (f) approval of any transaction of the nature as is to be reserved in the articles for approval by the Members.

118. Ans. a. One vote,

Explanation: Section 378Z - Voting rights: Save as otherwise provided in sub-sections (1) and (3) of section 378D, every Member shall have one vote and in the case of equality of votes, the Chairman or the person presiding shall have a casting vote except in the case of election of the Chairman.

119. Ans. d. The Chairman or the person presiding has a casting vote,

Explanation: Section 378Z - Voting rights: Save as otherwise provided in sub-sections (1) and (3) of section 378D, every Member shall have one vote and in the case of equality of votes, the Chairman or the person presiding shall have a casting vote except in the case of election of the Chairman.

120. Ans. d. One-fourth,

Explanation: Section 378Y – Quorum: Unless the articles require a larger number, one-fourth of the total membership shall constitute the quorum at a general meeting.

121. Ans. c. Whole-time Secretary,

Explanation: Section 378X - Secretary of Producer Company: (1) Every Producer Company having an average annual turnover exceeding five crore rupees or such other amount as may be prescribed in each of three consecutive financial years shall have a whole-time secretary.

122. Ans. d. One hundred rupees for every day during which the default continues subject to a maximum of rupees one lakh,

Explanation: Section 378X - Secretary of Producer Company: (3) If a Producer Company fails to comply with the provisions of sub-section (1), the Company and every officer of the Company who is in default, shall be liable to a penalty of one hundred rupees for every day during which the default continues subject to a maximum of rupees one lakh: Provided that in any proceedings against a person in respect of a default under this sub-section, no penalty shall be imposed if it is shown that all reasonable efforts to comply with the provisions of sub-section (1) were taken or that the financial position of the Company was such that it was beyond its capacity to engage a whole-time secretary.

123. Ans. a. Equity shares only,

Explanation: Section 378ZB - Share capital: (1) The share capital of a Producer Company shall consist of equity shares only.

124. Ans. c. Proportionality to the patronage of the company,

Explanation: Section 378ZB - Share capital: (2) The shares held by a Member in a Producer Company, shall as far as may be, be in proportion to the patronage of that company.

125. Ans. e. By allowing them to issue appropriate instruments conveying their special rights,

Explanation: Section 378ZC.Special user rights: (1) The producers, who are active

Members may, if so provided in the articles, have special rights and the Producer Company may issue appropriate instruments to them in respect of such special rights.

126. Ans. e. Any right relating to supply of additional produce by the active Member or any other right relating to his produce which may be conferred upon him by the Board, Explanation: Section 378ZC. Special user rights: Explanation—For the purposes of this section, the expression “special right” means any right relating to supply of additional produce by the active Member or any other right relating to his produce which may be conferred upon him by the Board.

127. Ans. d. Shares are not transferable, except as provided in under section 378ZD (2) to (4), Explanation: Section 378ZD. Transferability of shares and attendant rights: (1) Save as otherwise provided in sub-sections (2) to (4), the shares of a Member of a Producer Company shall not be transferable.

128. Ans. e. Only if the transferring Member obtains previous approval from the Board of Directors, Explanation: Section 378ZD. Transferability of shares and attendant rights: (2) A Member of a Producer Company may, after obtaining the previous approval of the Board, transfer the whole or part of his shares along with any special rights, to an active Member at par value.

129. Ans. c. Within three months of becoming a Member, Explanation: Section 378ZD. Transferability of shares and attendant rights: (3) Every Member shall, within three months of his becoming a Member in the Producer Company, nominate, in the manner specified in articles, a person to whom his shares in the Producer Company shall vest in the event of his death.

130. Ans. e. The shares of the deceased Member are surrendered to the Producer company at par value, Explanation Section 378ZD. Transferability of shares and attendant rights: (4) The nominee shall, on the death of the Member, become entitled to all the rights in the shares of the Producer Company and the Board of that Company shall transfer the shares of the deceased Member to his nominee: Provided that in a case where such nominee is not a producer, the Board shall direct the surrender of shares together with special rights, if any, to the Producer Company at par value or such other value as may be determined by the Board.

131. Ans. d. All a b & c,

Explanation: Section 378ZE Books of account: (1) Every Producer Company shall keep at its registered office proper books of account with respect to— (a) all sums of money received and expended by the Producer Company and the matters in respect of which the receipts and expenditure take place; (b) all sales and purchase of goods by the Producer Company; (c) the instruments of liability executed by or on behalf of the Producer Company; (d) the assets and liabilities of the Producer Company; (e) in case of a Producer Company engaged in production, processing and manufacturing, the particulars relating to utilisation of materials or labour or other items of costs.

132. Ans. b. A chartered Accountant,

Explanation: Section 378ZF Internal Audit: Every Producer Company shall have internal audit of its accounts carried out, at such interval and in such manner as may be specified in articles, by a chartered accountant as defined in clause (b) of sub-section (1) of section 2 of the Chartered Accountants Act, 1949.

133. Ans. e. All a b c & d,

Explanation: Section 378ZG. Duties of auditor under this Chapter: Without prejudice to the provisions contained in section 143, the auditor shall report on the following additional matters relating to the Producer Company, namely:— (a) the amount of debts due along with particulars of bad debts, if any; (b) the verification of cash balance and securities; (c) the details of assets and liabilities; (d) all transactions which appear to be contrary to the provisions of this Chapter; (e) the loans given by the Producer Company to the directors; (f) the donations or subscriptions given by the Producer Company; (g) any other matter as may be considered necessary by the auditor.

134. Ans. e. No, special resolution approval is mandatory for donations or subscriptions,

Explanation: Section 378ZH. Donation or subscription by Producer Company: A Producer Company may, by special resolution, make donation or subscription to any institution or individual for the purposes of— (a) promoting the social and economic welfare of Producer Members or producers or general public; or (b) promoting the mutual assistance principles.

135. Ans. e. All a b & c,

Explanation: Section 378ZH. Donation or subscription by Producer Company: A Producer Company may, by special resolution, make donation or subscription to any institution or individual for the purposes of— (a) promoting the social and economic welfare of Producer Members or producers or general public; or (b) promoting the mutual assistance principles.

136. Ans. c. Three percent,

Explanation: 378ZH. Donation or subscription by Producer Company: A Producer Company may, by special resolution, make donation or subscription to any institution or individual for the purposes of— (a) promoting the social and economic welfare of Producer Members or producers or general public; or (b) promoting the mutual assistance principles: Provided that the aggregate amount of all such donations and subscriptions in any financial year shall not exceed three per cent. of the net profit of the Producer Company in the financial year immediately preceding the financial year in which the donation or subscription was made.

137. Ans. d. By applying a fixed percentage to the net profit of the previous financial year,

Explanation: 378ZH. Donation or subscription by Producer Company: A Producer Company may, by special resolution, make donation or subscription to any institution or individual for the purposes of— (a) promoting the social and economic welfare of Producer Members or producers or general public; or (b) promoting the mutual assistance principles: Provided that the aggregate amount of all such donations and subscriptions in any financial year shall not exceed three per cent. of the net profit of the Producer Company in the financial year immediately preceding the financial year in which the donation or subscription was made.

138. Ans. a. They are prohibited from making any political contributions directly or indirectly,

Explanation: 378ZH. Donation or subscription by Producer Company: A Producer Company may, by special resolution, make donation or subscription to any institution or individual for the purposes of— (a) promoting the social and economic welfare of Producer Members or producers or general public; or (b) promoting the mutual assistance principles: Provided that the aggregate amount of all such donations and subscriptions in any financial year shall not exceed three per cent. of the net profit of the Producer Company in the financial year immediately preceding the financial year in which the donation or subscription was made: Provided further that no Producer Company shall make directly or indirectly to any political party or for any political purpose to any person any contribution or subscription or make available any facilities including personnel or material.

139. Ans. a. General Reserve, Explanation: Section 378Z-I. General and other reserves: (1) Every Producer Company shall maintain a general reserve in every financial year, in addition to any reserve maintained by it as may be specified in Articles.

140. Ans. e. The contribution will be shared amongst the Members in proportion to their patronage in the business of that Company in that year,
Explanation: Section 378Z-I. General and other reserves: (2) In a case where the Producer Company does not have sufficient funds in any financial year for transfer to maintain the reserves as may be specified in articles, the contribution to the reserve shall be shared amongst the Members in proportion to their patronage in the business of that Company in that year.
141. Ans. c. If the Board recommends it and a resolution is passed in the general meeting,
Explanation: Section 378ZJ. Issue of bonus shares: Any Producer Company may, upon recommendation of the Board and passing of resolution in the general meeting, issue bonus shares by capitalisation of amounts from general reserves referred to in section 378Z-I in proportion to the shares held by the Members on the date of the issue of such shares.
142. Ans. d. Both a & c,
Explanation: Section 378ZK. Loan, etc., to Members: The Board may, subject to the provisions made in articles, provide financial assistance to the Members of the Producer Company by way of— (a) credit facility, to any Member, in connection with the business of the Producer Company, for a period not exceeding six months; (b) loans and advances, against security specified in articles to any Member, repayable within a period exceeding three months but not exceeding seven years from the date of disbursement of such loan or advances: Provided that any loan or advance to any director or his relative shall be granted only after the approval by the Members in general meeting.
143. Ans. d. After obtaining approval from the Members in a general meeting,
Explanation: Section 378ZK. Loan, etc., to Members: The Board may, subject to the provisions made in articles, provide financial assistance to the Members of the Producer Company by way of— (a) credit facility, to any Member, in connection with the business of the Producer Company, for a period not exceeding six months; (b) loans and advances, against security specified in articles to any Member, repayable within a period exceeding three months but not exceeding seven years from the date of disbursement of such loan or advances: Provided that any loan or advance to any director or his relative shall be granted only after the approval by the Members in general meeting.
144. Ans. d. The general reserves should be invested in government-approved securities, fixed deposits, units, bonds issued by the Government, or co-operative or scheduled bank,
Explanation: Section 378ZL. Investment in other companies, formation of subsidiaries, etc.: (1) The general reserves of any Producer Company shall be invested to secure the highest returns available from approved securities, fixed deposits, units, bonds issued by

the Government or co-operative or scheduled bank or in such other mode as may be prescribed.

145. Ans. a. For promotion of its objectives,

Explanation: Section 378ZL. Investment in other companies, formation of subsidiaries, etc.: (2) Any Producer Company may, for promotion of its objectives acquire the shares of another Producer Company.

146. Ans. c. Special resolution in this behalf,

Explanation: Section 378ZL. Investment in other companies, formation of subsidiaries, etc.: (3) Any Producer Company may subscribe to the share capital of, or enter into any agreement or other arrangement, whether by way of formation of its subsidiary company, joint venture or in any other manner with any body corporate, for the purpose of promoting the objects of the Producer Company by special resolution in this behalf.

147. Ans. c. 30% of the aggregate of its paid-up capital and free reserves,

Explanation: Section 378ZL. Investment in other companies, formation of subsidiaries, etc.: (4) Any Producer Company, either by itself or together with its subsidiaries, may invest, by way of subscription, purchase or otherwise, shares in any other company, other than a Producer Company, specified under sub-section (2), or subscription of capital under sub-section (3), for an amount not exceeding thirty per cent. of the aggregate of its paid-up capital and free reserves: Provided that a Producer Company may, by special resolution passed in its general meeting and with prior approval of the Central Government, invest in excess of the limits specified in this section.

148. Ans. e. By passing a special resolution in the general meeting and obtaining prior approval of the Central Government,

Explanation: Section 378ZL. Investment in other companies, formation of subsidiaries, etc.: (4) Any Producer Company, either by itself or together with its subsidiaries, may invest, by way of subscription, purchase or otherwise, shares in any other company, other than a Producer Company, specified under sub-section (2), or subscription of capital under sub-section (3), for an amount not exceeding thirty per cent. of the aggregate of its paid-up capital and free reserves: Provided that a Producer Company may, by special resolution passed in its general meeting and with prior approval of the Central Government, invest in excess of the limits specified in this section.

149. Ans. a. By passing a resolution in the general meeting,

Explanation: Section 378ZL. Investment in other companies, formation of subsidiaries, etc.: (6) The Board of a Producer Company may, with the previous approval of Members by a special resolution, dispose of any of its investments referred to in sub-sections (3) and (4).

150. Ans. e. Particulars of all the investments, including the names of the companies in which shares have been acquired, number and value of shares, date of acquisition, and the manner and price at which any of the shares have been subsequently disposed of, Explanation: Section 378ZL. Investment in other companies, formation of subsidiaries, etc.: (7) Every Producer Company shall maintain a register containing particulars of all the investments, showing the names of the companies in which shares have been acquired, number and value of shares; the date of acquisition; and the manner and price at which any of the shares have been subsequently disposed of.